Value Research

Wealth Insight

August 2025 ₹150

The Smart Investor's Stock Guide

Undervalued Underestimated Unbeatable

10 low-P/E stocks for outsized gains

HDFC LARGE CAP FUND

(An open ended equity scheme predominantly investing in large cap stocks)

Inception date - October 11, 1996.

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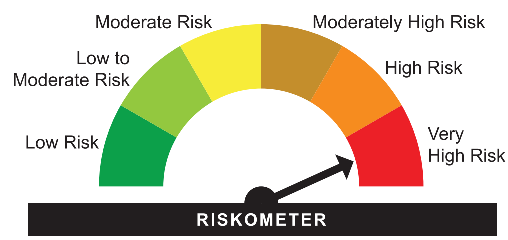
This product is suitable for investors who are seeking*:

- To generate long-term capital appreciation / income
- Investment predominantly in Large-cap companies

*Investors should consult their financial advisers, if in doubt about whether the product is suitable for them.

#For latest Riskometer, investors may refer to the Monthly Portfolios disclosed on the website of the Fund viz. **www.hdfcfund.com**

Riskometer#



The risk of the scheme is very high

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Mission: To be the wealth creator for every Indian

Vision: To be the most respected asset manager in the world

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PRODUCT LABELLING

Mirae Asset Small cap Fund is suitable for investors who are seeking*

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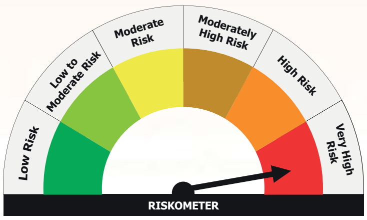
*Investors should consult their financial advisors if they are not clear about the suitability of the product.

Scheme Riskometer



The risk of the scheme is Very High

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Mutual Fund investments are subject to market risks, read all scheme related documents carefully.

Value Research
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EDITORIAL POLICY

The goal of Wealth Insight, as with all publications from Value Research, is not just limited to generating profitable ideas for its readers; but to also help them in generating a few of their own. We aim to bring independent, unbiased and meticulously-researched stories that will help you in taking better-informed investment decisions, encouraging you to indulge in a bit of research on your own as well.

All our stories are backed by quantitative data. To this, we add rigorous qualitative research obtained by speaking to a wide variety of stakeholders. We firmly stick to our belief of fundamental research and value-oriented approach as the best way to earn wealth in the stock market. Equally important to us is our unwaveringly focus on long term planning.

Simplicity is the hallmark of our style. Our writing style is simple and so is the presentation of ideas, but that should not be construed to mean that we over-simplify.

Read, learn and earn – and let's grow and evolve as we undertake this voyage together.

Contents

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LIC MUTUAL FUND
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An open-ended equity scheme investing in maximum 30 stocks across market capitalization (i.e. Multi Cap).
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• Long term capital appreciation.
• Investment in equity & equity related instruments of up to 30 companies across market capitalization.
*Investors should consult their financial advisers if in doubt about whether the product is suitable for them. The change in Risk-o-meter will be evaluated on a monthly basis. For Scheme related details, including updation in Riskometer (if any) may please be referred on our website: www.licmf.com
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by Dhirendra Kumar

The paradox of price

Why investors chase expensive stocks and shun bargains

A peculiar psychology at work in the investment world defies most rational thinking. We're naturally drawn to bargains in virtually every other aspect of our lives. We're thrilled to find quality goods at reduced prices, queue for sales and take pride in discovering value even if it's just a fake discount label. Yet when it comes to investing, this fundamental instinct mysteriously reverses itself. Suddenly, expensive becomes desirable and cheap becomes suspicious.

This contradiction isn't theoretical—it significantly impacts wealth creation and destruction. Investors who succeed in building substantial wealth over decades often do so by embracing what feels counterintuitive: buying when others are selling, investing when sentiment is poor and seeking opportunity in the market's unloved corners. They understand that price is only half the story. The other half is what you're getting for it.

- Bargains excite us—except in investing
- Market emotions often distort real value
- Patience beats glamour in wealth creation
- Focus on value, not recent returns

Look at market cycles. During euphoric phases, investors pay premium prices for stocks with spectacular past returns, believing momentum will continue. Meanwhile, similar—or better—companies trading at a discount get ignored simply because they lack the glamour of recent performance or the validation of popular approval.

This behaviour creates one of the market's enduring anomalies: the outperformance of seemingly unattractive stocks. It's a phenomenon that has persisted across decades, regions and market conditions, yet remains underappreciated by most investors.

This pattern reveals a core truth about market efficiency—its absence. Markets process information efficiently but emotions inefficiently. Fear, greed, hope, despair—these create persistent mispricings that patient investors can exploit. The real challenge isn't spotting these opportunities, but acting on them when everything in the market suggests otherwise.

What makes this particularly relevant now is the current market backdrop. After years of growth-stock dominance and momentum-driven investing, we're witnessing a gradual shift in investor preferences. The easy money of the past decade has created a generation of investors accustomed to paying premium prices for premium growth, but markets have a way of humbling such assumptions.

Yet there's a deeper lesson here about the nature of value itself. Price is what you pay; value is what you get. This simple distinction, popularised by Warren Buffett, captures the essence of successful investing. A stock trading at a low multiple of earnings isn't automatically a bargain—it could be cheap for good reasons. Similarly, a stock trading at a high multiple isn't automatically expensive—it might be worth every penny and more. The skill lies in distinguishing between the two.

This distinction is crucial in today's noise-heavy world. Investors are flooded with data and opinions and often mistake information for insight. The most valuable skill is not precise valuation, but the wisdom to spot when the market's assessment of value diverges significantly from reality.

This month's cover story explores this balance by observing a particular metric and one specific investment philosophy. But the principle applies broadly—across growth and value, large and small caps, domestic and global opportunities. The central question remains: Are you paying a reasonable price for what you're getting?

The answer to that question—and the discipline to act on it—often separates successful investors from the rest. In a world where financial markets increasingly resemble entertainment rather than investing, perhaps the most radical act is to remain focused on the basics: buying good businesses at reasonable prices and holding them for the long term. It's not glamorous, but it works.

₹25,000 cr

Is the amount recently raised by SBI through a qualified institutional placement (QIP), marking the largest equity placement by an Indian company. Priced at a slight discount, the issue saw strong institutional interest, reflecting investor confidence in SBI.

HDB Financial's IPO raises ₹2,500 crore

HDB Financial Services, the NBFC arm of HDFC Bank, launched India's biggest NBFC IPO of 2025, raising ₹2,500 crore through a fresh issue. The issue also had a ₹10,000 crore offer-for-sale. Despite pricing below grey market expectations, the IPO drew robust demand, subscribed 16.7 times overall, with 55x interest from QIBs (qualified institutional buyers). The stock debuted at around 13 per cent premium, valuing the company at \$8.2 billion. Investors are betting on its strong distribution, solid asset quality and continued HDFC Group support.

VIP promoters to cede control after 50 years

The promoters of VIP Industries, led by Dilip Piramal, are divesting a 32 per cent stake to a consortium led by multiple PEs, triggering a mandatory open offer. With this, the promoters will no longer have a controlling stake. Once India's top luggage brand, VIP has recently faced rising competition from Samsonite and Safari, margin pressures and post-Covid demand swings.

Sun Pharma rolls out hair loss drug in US

Sun Pharma has launched Leqselvi (8 mg deurenolujitinib), an oral treatment for alopecia areata—a chronic autoimmune condition causing patchy hair loss—after resolving a patent dispute with Incyte in the US. The settlement includes a non-exclusive licence and royalty payments. With strong phase III trial results, Leqselvi is expected to generate up to \$400 crore in US sales by FY30. The launch bolsters Sun's dermatology pipeline amid stiff pricing and competitive pressure in the US specialty pharma market.

Vedanta hit by short-seller allegations

US-based short-seller Viceroy Research published an 87-page report on July 9, alleging that parent Vedanta Resources was operating a "Ponzi-like" structure—diverting funds from Vedanta via high dividends, off-balance-sheet deals and mounting debt. The stock dropped nearly 8 per cent intraday, and Viceroy disclosed a short position on the parent's debt. Vedanta strongly denied the allegations, labelling them baseless and reaffirming its commitment to governance and restructuring plans.

Zee promoters' stake hike plan hits a wall

Zee Entertainment's promoter group, led by the Goenkas, proposed a ₹2,237 crore convertible warrant issue to raise their stake from 3.99 per cent to 18.39 per cent. While some global investors backed the move, domestic proxy advisors flagged governance and dilution risks. The proposal secured just 60 per cent shareholder approval at the July 10 EGM (extraordinary general meeting)—short of the 75 per cent threshold. With the plan rejected, Zee stated it would now focus on business priorities.

Jane Street banned by SEBI for alleged price manipulation

SEBI has barred US-based trading firm Jane Street for allegedly manipulating Indian index options—especially Bank Nifty—via "marking the close" trades that skewed end-of-day prices. The regulator claimed Jane Street earned over ₹36,500 crore in profits and froze ₹4,843 crore of suspected gains. Following the ban, index options turnover on NSE fell around 35 per cent. Jane Street denied any wrongdoing, deposited $567 million in escrow and is pursuing legal remedies to resume trading in Indian markets.

Apollo Hospitals to demerge pharmacy and digital biz

Apollo Hospitals' board has approved a composite scheme to demerge its omni-channel pharmacy distribution and digital health businesses into a new entity (NewCo). Shareholders will get 195.2 NewCo shares for every 100 Apollo shares. Apollo will retain a 15 per cent stake and board representation. The merged NewCo—comprising Apollo HealthCo and Keimed—targets ₹25,000 crore revenue by FY27 with around 7 per cent EBITDA margins. Listing is expected within 18–21 months, unlocking value and sharpening focus.

Torrent Pharma to buy 46 per cent in JB Chemicals

Torrent Pharmaceuticals will acquire a controlling 46.39 per cent stake in JB Chemicals from KKR for ₹11,917 crore, valuing JB at ₹25,689 crore on a fully diluted basis. The deal includes an open offer for 26 per cent and a planned merger via share swap. Torrent also intends to acquire 2.8 per cent from JB's employees. The acquisition will strengthen Torrent's position in chronic therapies and mark its entry into the ophthalmology and contract development and manufacturing (CDMO) spaces, enhancing its overall portfolio.

JSW Paints acquires Dulux owner

JSW Paints has acquired a 74.76 per cent stake in Akzo Nobel India from its Dutch parent for ₹8,986 crore, marking a major consolidation in the Indian paints sector. With this deal, JSW gains iconic brands like Dulux, expanding its footprint significantly. It now becomes the fourth-largest player in the sector, challenging leaders like Asian Paints and Berger in the premium paints segment with an enhanced brand and distribution play.

$4 trillion

Is the market capitalisation that Nvidia briefly touched in July, becoming the first public company to cross this mark globally. This historic milestone, fuelled by booming demand for AI chips, cements Nvidia's leadership in generative AI and puts it ahead of tech giants like Apple and Microsoft.

Mazagon Dock buys Colombo shipyard for ₹452 crore

Mazagon Dock Shipbuilders has acquired a 51 per cent stake in Sri Lanka's Colombo Dockyard PLC for around ₹452 crore—its first international expansion. The move positions Mazagon as a significant regional player in shipbuilding and repair, securing strategic access to Colombo Port. This acquisition enhances India's maritime influence, counters China's presence in the region and helps revive a financially distressed shipyard with growth potential.

MARKET REPORTER

Asian Paints under CCI lens for anti-competitive practices

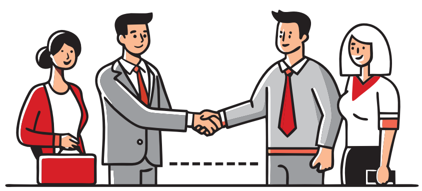
Grasim Industries (Birla Opus Paints) has filed a complaint with the Competition Commission of India (CCI) against Asian Paints, alleging abuse of market dominance. The charges include exclusive dealer incentives, threats of credit withdrawal and pressure on landlords, suppliers and transporters. The CCI found prima facie violations under Sections 4(2)(a)(i), (c) and (d) of the Competition Act and has ordered a probe to be completed within 90 days. Asian Paints has said it will cooperate and explore legal recourse.

Gas pipeline tariffs overhauled for uniformity and affordability

The Petroleum & Natural Gas Regulatory Board (PNGRB) has amended its Pipeline Tariff Regulations, cutting tariff zones from three to two. It standardises rates across city gas distributors and extends the lowest Zone-1 tariff to CNG and domestic PNG users. The update mandates 75 per cent long-term gas sourcing by operators and sets up a Pipeline Development Reserve, advancing the 'One Nation, One Grid, One Tariff' vision.

Sona BLW powers into China with EV joint venture

Sona BLW has entered a $20 million joint venture with China's Jinnaite Machinery to manufacture EV drivetrain systems and components. The partnership expands Sona's presence in the world's largest EV market and strengthens its global manufacturing footprint. Combining Sona's drivetrain expertise with Jinnaite's local production capabilities, the move is a key step in Sona's global growth strategy, aimed at tapping rising EV demand and diversifying its supply chain.

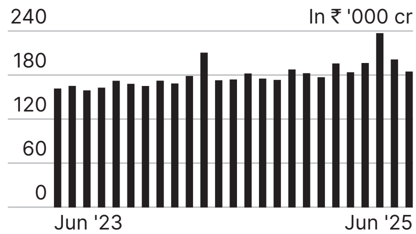


Adani Group completes Wilmar exit

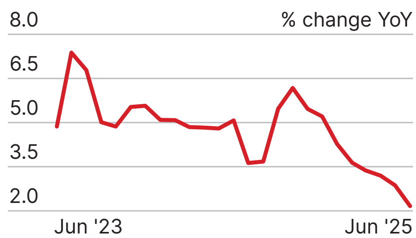
Adani Group has exited its stake in AWL Agri Business (formerly Adani Wilmar), selling the remaining 10.42 per cent via a ₹3,733 crore block deal to global investors. This completes a phased divestment following earlier sales to Wilmar International and others, aligning with Adani's focus on core infrastructure. The exit ends a 25-year joint venture, giving majority control to Wilmar and improving stock liquidity.

ECONOMIC METRICS

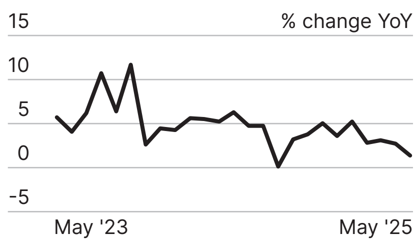
GST collection



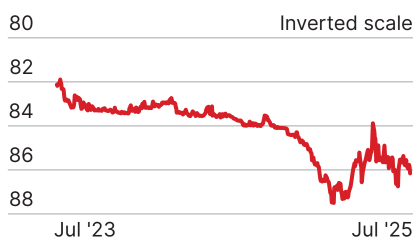
Inflation: Consumer Price



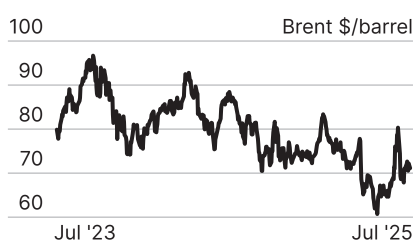
Index of Industrial Production



₹ vs $



Crude oil



The power of reach

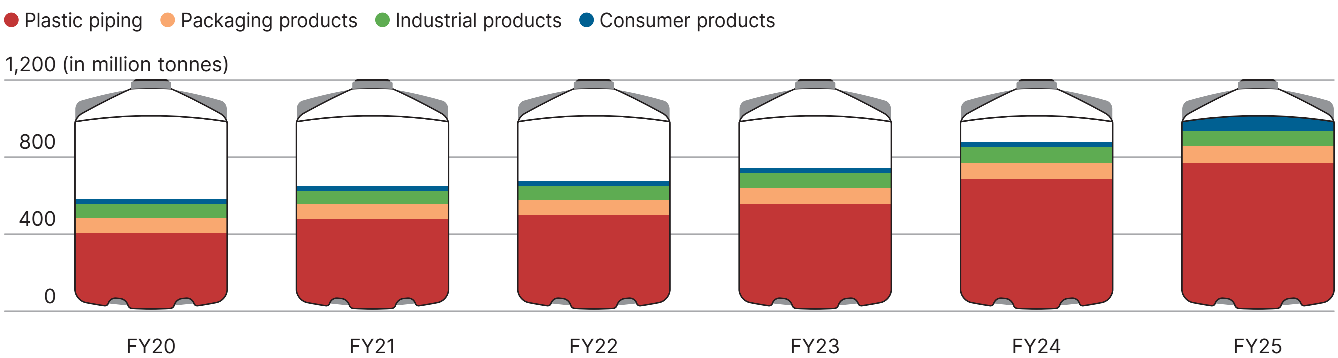
How Supreme Industries built the country's widest plastic piping empire

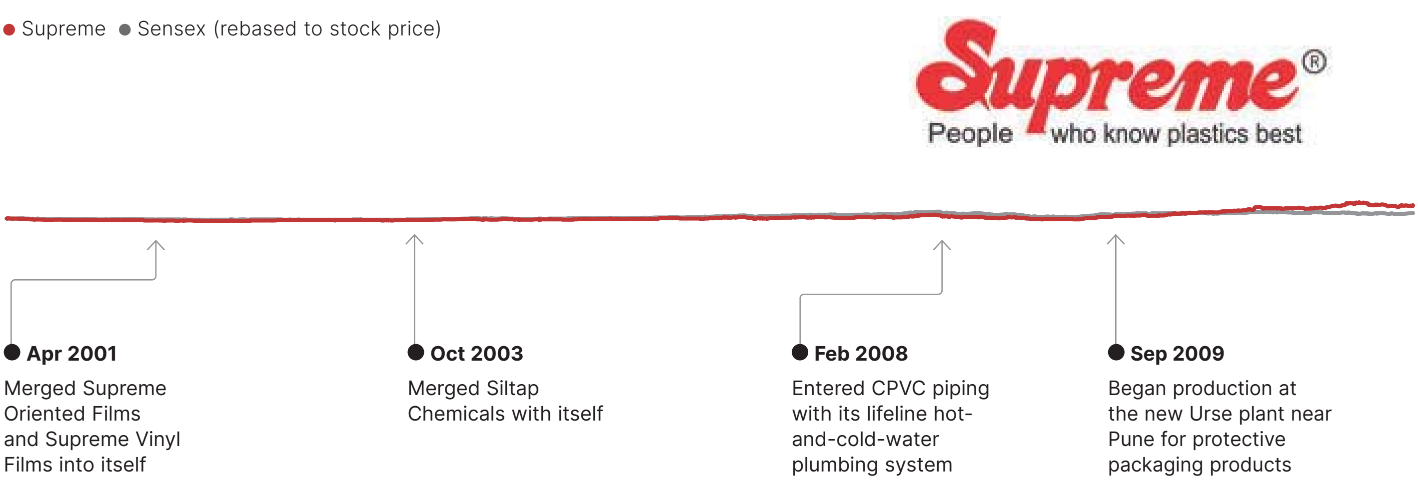
Buckets, mugs and plastic film—that was Supreme Industries' entire catalogue when it opened shop in 1942, Bombay. Over the years, the founding family learnt two timeless truths: people will always need practical products and growth flows from reinvesting every rupee. So, year after year, their profits funded newer polymers, finer moulds and, more importantly, wider distribution. Long before 'logistics' became a corporate mantra, Supreme was quietly building a web of small depots that could promise shopkeepers a next-day delivery.

When pipes became the prize

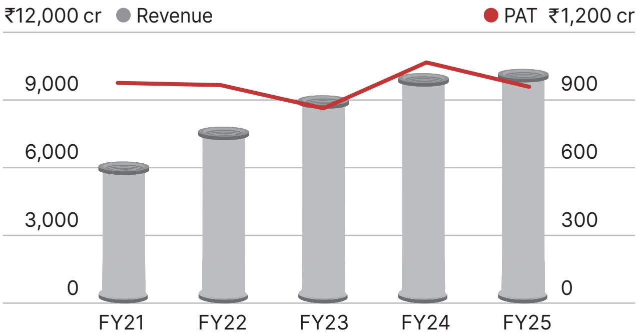
The game changed in the early 1990s. As urban housing projects mushroomed and irrigation canals cut across farmland, plastic piping emerged as a faster, lighter alternative to metal. Supreme responded to the demand not with a single mega-factory but a constellation of mid-sized plants. Shorter routes meant lower freight costs and faster turnaround—an edge over regional rivals shipping across state borders. Retailers noticed; plumbers noticed; and soon, blue-and-white bundles of Supreme

Scaling up year after year

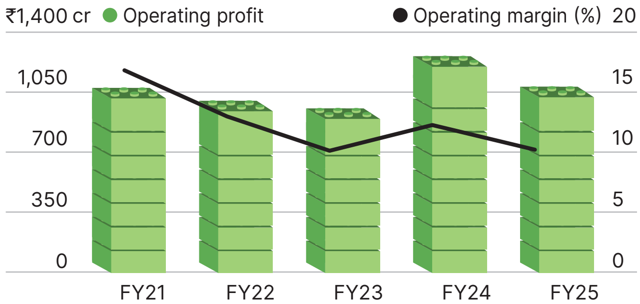




Revenue and profit after tax



Operating profit and margin



Operating profit is earnings before interest and tax

pipes became a fixture on construction sites pan-India.

The latecomer advantage

Then came CPVC. A new heat-resistant resin opened the door to longer-lasting plumbing. Supreme wasn't first to market, but its distribution muscle made all the difference. While early movers scrambled to expand, Supreme's CPVC pipes were already stacked in thousands of neighbourhood depots—ready for the next borewell crew or building contractor. Availability, not early entry, helped it win the race.

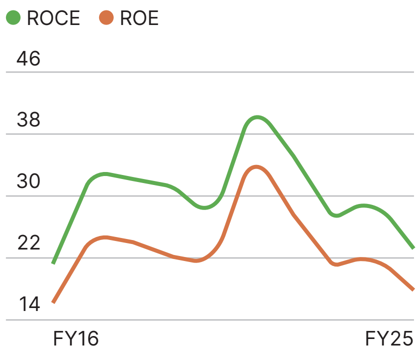
From there, scale reinforced itself. Higher volumes drew in resin suppliers, who offered more favourable terms. A steady flow of raw material kept the plants humming, bringing down unit costs. Lower costs meant sharper prices or quicker incentives, pulling still more volume through the same channel.

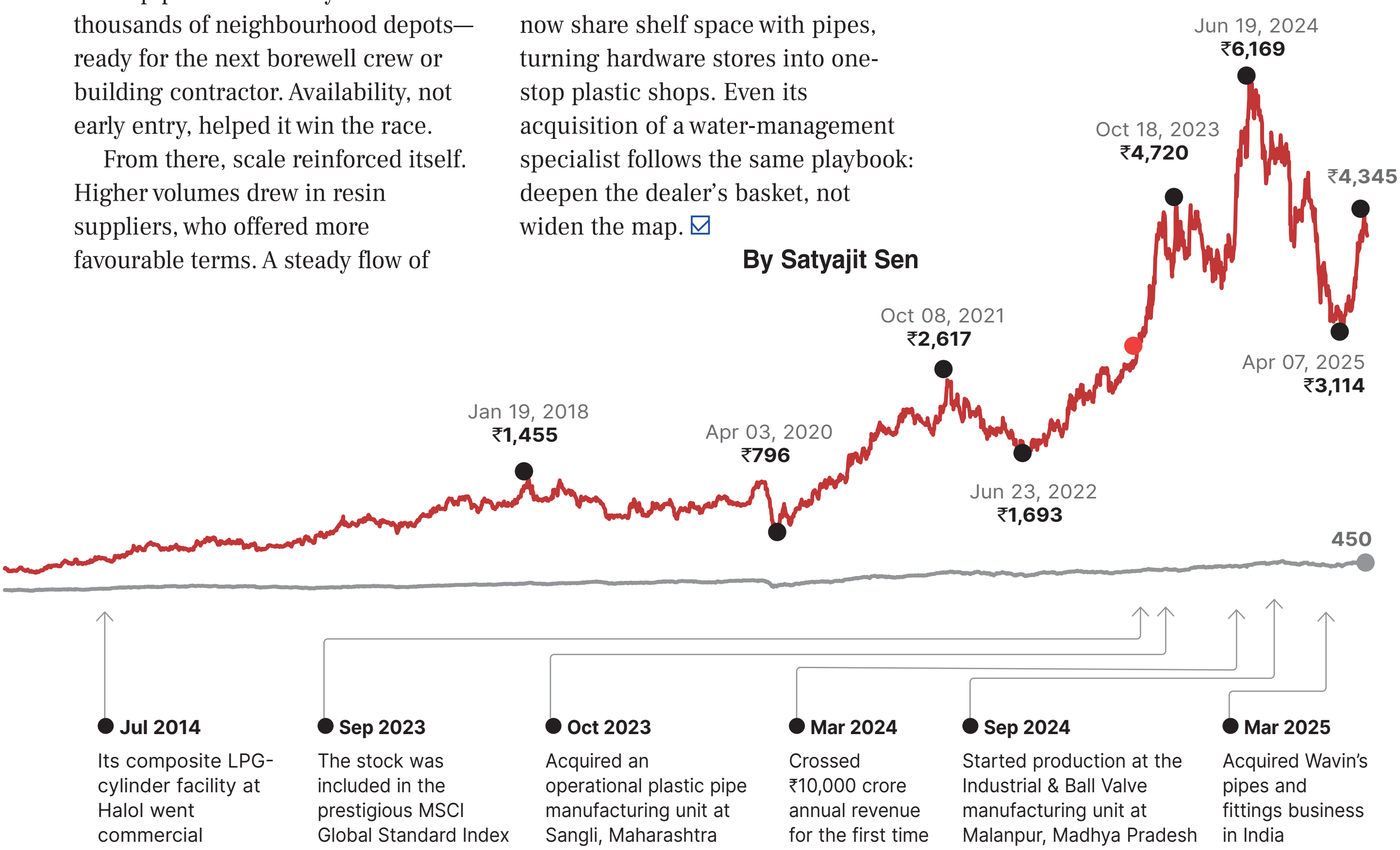
A shifting focus

With the pipe grid firmly in place, Supreme is now expanding its product range rather than its footprint. Storm-water fittings, uPVC windows and foamed-core boards now share shelf space with pipes, turning hardware stores into one-stop plastic shops. Even its acquisition of a water-management specialist follows the same playbook: deepen the dealer's basket, not widen the map. ☑

By Satyajit Sen

Capital efficiency





Large caps

	Industry	Stock Rating	3M returns (%)	P/E	TTM Rev. growth (% YoY)	TTM PAT growth (% YoY)	3Y EPS growth (% pa)	3Y avg. ROE (%)
Top 10 by returns								
Hitachi Energy India	Electrical Machinery	★★	46.5	213.8	21.9	134.4	31.7	-
Waaree Energies	Renewable Energy Equip.	Unrated	45.2	49.6	172.2	322.1	171.0	31.9
Prestige Estates	Real Estate Dev.	★★	43.7	158.8	-6.7	-59.2	-26.8	13.6
Aditya Birla Capital	Investment Holding	★★★	41.9	2.3*	19.8	-2.9	21.9	3.7
Bosch	Auto Ancillaries	★★★	41.4	56.1	8.1	5.9	18.3	16.8
Bharat Electronics	Defence & Aerospace Div.	★★★★	39.3	56.2	17.3	34.1	30.4	23.7
Schaeffler India	Ball Bearings	★★★★	34.8	68.2	14.8	7.5	13.4	19.1
Jio Financial	NBFC - Div.	★★	34.6	1.7*	10.2	3.7	-	-
Polycab India	Wires & Cables	★★★★	32.3	51.8	24.2	13.5	30.2	22.6
Hyundai Motor India	Auto Manufacturers	Unrated	30.1	31.0	95.9	91.2	47.7	27.7
Bottom 10 by returns								
Varun Beverages	Carbonated Soft Drinks	★★★	-14.7	57.1	29.8	27.5	49.7	24.5
Torrent Power	Electricity Distribution	★★★	-14.3	23.5	7.3	61.3	85.9	18.3
The Indian Hotels Company	Hotels & Resorts	★★★★	-10.9	55.6	23.1	45.5	102.0	11.6
United Spirits	Distilleries	★★★	-8.7	63.0	4.8	15.1	24.1	19.5
General Insurance Corp	Div. Insurance	Unrated	-6.3	9.1	8.9	7.2	46.0	15.9
NTPC	Power Generation - Div.	★★★	-5.6	14.2	5.4	-3.5	12.0	13.0
REC	Commercial Financing	★★★★	-5.2	1.4*	18.7	12.3	16.5	21.5
Colgate-Palmolive	Personal Hygiene	★★★	-4.4	45.5	6.3	7.4	10.0	71.7
Avenue Supermarts	Food & Staples Retailing - Div.	★★★★	-4.3	96.8	16.3	2.1	9.7	14.8
Lupin	Branded Medicines	★★★	-3.0	27.2	13.5	70.8	60.5	4.4

*Price-to-book ratio. Our large-cap universe has 155 large companies, making the top 70 per cent of the total market cap. The above list mentions stocks that fluctuated the most in the last three months. Profit after tax (PAT) adjusted for exceptional items and discontinued operations. Data as of July 15, 2025.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THE SCIENCE OF EXTREME
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SERVO
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20W-40
BS6 COMPLIANT
JASO MA2
4 STROKE MOTORBIKE OIL
SERVO 4T XTRA
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• Superior Fuel Economy
• Longer Drain Interval: Up to 6000 kms
GET SERVO 4T XTRA AT INDIANOIL FUEL STATIONS, AUTHORIZED RESELLERS, AND TRUSTED MECHANICS.

Mid caps

	Industry	Stock Rating	3M returns (%)	P/E	TTM Rev. growth (% YoY)	TTM PAT growth (% YoY)	3Y EPS growth (% pa)	3Y avg. ROE (%)
Top 10 by returns								
Elitecon International	Div. Trading	Unrated	179.4	248.0	845.9	1361.0	261.8	4.1
Gabriel India	Auto Ancillaries	★★★★	97.7	64.1	19.4	37.1	33.3	16.0
Force Motors	Commercial Vehicles	★★★★	88.9	27.6	15.4	30.4	121.0	7.7
Apar Industries	Div. Manufacturing	★★★	78.8	44.2	15.0	-0.5	45.0	27.2
JM Financial	Inv. Management - Div.	★★★	74.8	1.7*	-8.0	24.5	2.0	7.9
GE Vernova T&D	Switching Equipment	★★★	65.5	96.7	35.5	236.0	142.5	3.7
Authum Investment	Brokerage Services	★★★★★	64.9	11.4	-21.8	-21.0	112.9	28.7
ITD Cementation	Const. & Eng. - Div.	★★★	61.9	39.8	17.9	44.8	75.6	12.3
Glenmark Pharma	Pharma - Div.	★★	61.9	60.0	12.8	181.9	3.6	15.0
Delhivery	Warehousing	★★	61.5	192.3	9.7	165.5	26.9	-13.9
Bottom 10 by returns								
Sun TV Network	Television Broadcasting	★★★★	-17.1	13.2	-6.2	-8.7	1.2	20.2
Chambal Fertilisers	Fertilisers	★★★★★	-16.8	13.5	-7.3	27.0	3.0	19.3
PG Electroplast	Electronic Components	★★	-15.5	79.6	77.3	112.3	25.8	13.0
Jindal Saw	Iron & Steel	★★★	-12.6	8.3	-0.6	-10.2	53.5	14.6
Ola Electric	Motorcycles & Scooters	★	-12.2	0.0	-31.7	-43.4	20.4	-4.2
Gujarat Fluorochemicals	Commodity Chemicals - Div.	★★	-12.1	69.4	10.7	25.5	-11.5	18.4
Cohance Lifesciences	Pharma - Div.	★★★	-10.9	150.7	13.9	-11.8	-16.1	24.9
JSW Holdings	NBFC - Div.	★★★	-10.9	0.8*	46.3	47.2	8.8	0.9
Gravita India	Waste Mgmt.	★★★	-10.9	40.8	22.4	29.1	29.3	40.4
Patanjali Foods	Edible Oil	★★★	-9.8	48.6	7.5	70.0	9.7	12.6

*Price-to-book ratio. Our mid-cap universe has 331 mid-cap companies, making the next 20 per cent of the total market cap. The above list mentions stocks that fluctuated the most in the last three months. Profit after tax (PAT) adjusted for exceptional items and discontinued operations. Data as of July 15, 2025.

Small caps

	Industry	Stock Rating	3M returns (%)	P/E	TTM Rev. growth (% YoY)	TTM PAT growth (% YoY)	3Y EPS growth (% pa)	3Y avg. ROE (%)
Top 10 by returns								
Vertoz	Advt. & Marketing - Div.	★★	842.5	256.0	48.0	43.6	6.9	8.4
Aayush Wellness	Crop Farming	★★	265.4	364.4	12123	489.5	53.1	-10.4
RRP Semiconductor	Investment Holding	Unrated	247.8	208.9*	8213	42350	40.2	-
Midwest Gold	Gold Mining & Refining	Unrated	200.8	-	-58.1	-71.6	-26.3	-
Blue Pearl Agriventures	Miscellaneous Textiles	Unrated	173.8	-	12985	900.0	255.0	-
Frontier Springs	Railway Locomotive	★★★★	142.6	56.9	70.9	167.0	66.5	12.6
Sri Adhikari Brothers TV	Television Broadcasting	★★	139.2	-	120.6	70.0	-18.0	-
Suven Life Sciences	API / Generic Pharma	★★	133.5	-	-43.1	-45.7	4.7	-4.2
ASM Technologies	Software & Services - Div.	★★	117.6	157.1	43.2	477.8	19.8	8.4
Blue Cloud Softech	Software	Unrated	116.1	33.5	58.7	175.3	333.7	7.2
Bottom 10 by returns								
Bharat Global Dev	Const. & Eng. - Div.	Unrated	-88.2	83.5	2495	405.7	347.2	2.4
Protean e-Gov Tech	IT Serv. & Consulting	★★★	-43.8	34.8	-4.7	-7.1	1.6	14.8
Jindal Worldwide	Synthetic Fabrics	★	-39.3	55.9	26.4	0.3	-11.4	17.8
Orient Cement	Cement	★★★	-34.1	53.3	-15.0	-47.8	-29.8	7.8
Dreamfolks Services	Airport Operators	★★★	-31.3	13.3	13.8	-5.2	58.2	40.1
National Standard (India)	Real Estate Development	★	-31.2	382.8	4.5	-10.6	-18.8	6.8
Ujaas Energy	Renewable Electricity	★★	-30.8	361.7	0.8	-75.2	29.1	-26.1
LS Industries	Synthetic Fabrics	Unrated	-29.9	-	-35.6	-519.0	-300.7	-7.0
Systematix Corporate	Investment Banking	★★★★	-27.4	33.7	0.2	-14.2	36.7	22.7
Kaveri Seed Co	Crop Farming	★★★★★	-26.5	21.1	4.9	-5.9	15.8	19.6

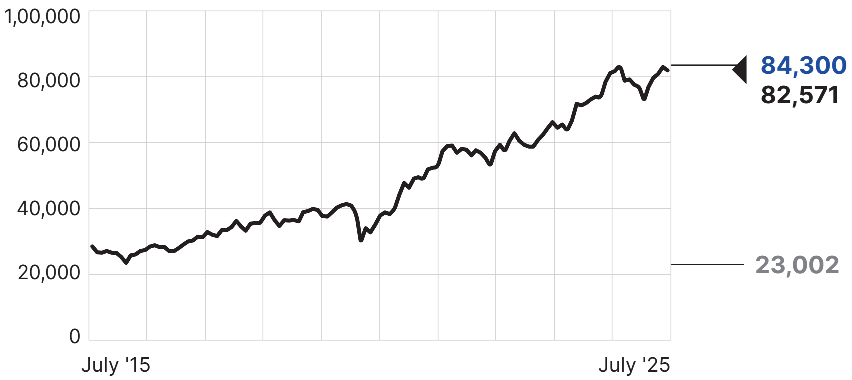
Our small-cap universe (minimum m-cap of ₹680 crore) has 1,189 small-cap companies, making the bottom 10 per cent of the total market cap. The above list mentions stocks that fluctuated the most in the last three months. PAT adjusted for exceptional items and discontinued operations. Data as of July 15, 2025.

Trends and trails

Charts to help you make sense of the current market in terms of valuations and return potential

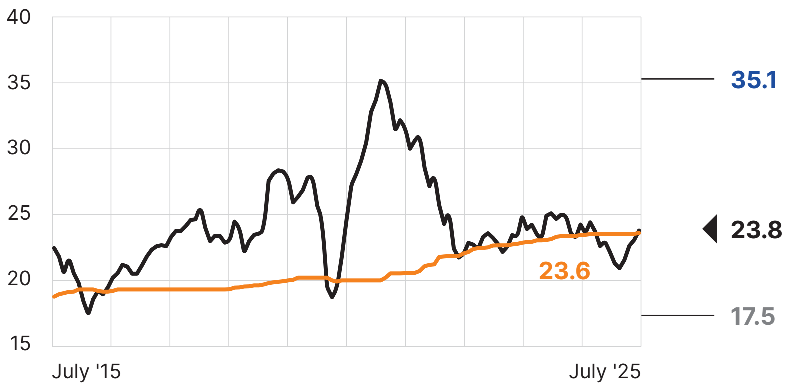
● Max ◀ Current ● Median ● Min

Sensex's 10-year journey

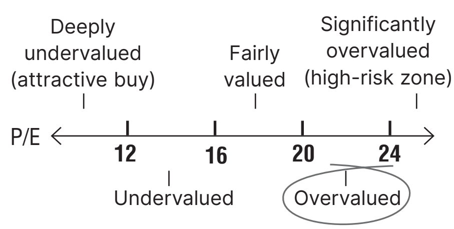


- The Sensex is a reliable gauge of the Indian market's overall performance.
- The 10-year graph shows a secular market rally, interrupted by several bearish phases.
- Key setbacks include: Chinese growth concerns (2015), demonetisation (2016), US–China trade tensions (2018) and the Covid-19 crash (March 2020).
- After a strong recovery post-March 2020, the markets dipped due to the Russian-Ukraine conflict and rising interest rates.
- After touching new lifetime highs in 2024, Sensex is now stuck in a consolidation phase.

Sensex price-to-earnings ratio

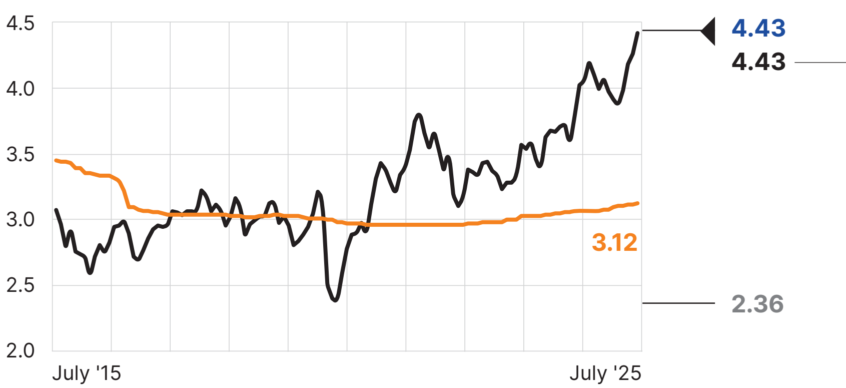


The **price-to-earnings (P/E)** ratio of the Sensex is a straightforward indicator of market valuation. Here's a general valuation guide:



This chart uses standalone data for Sensex companies. If consolidated figures are considered, the P/E ratio would likely be lower.

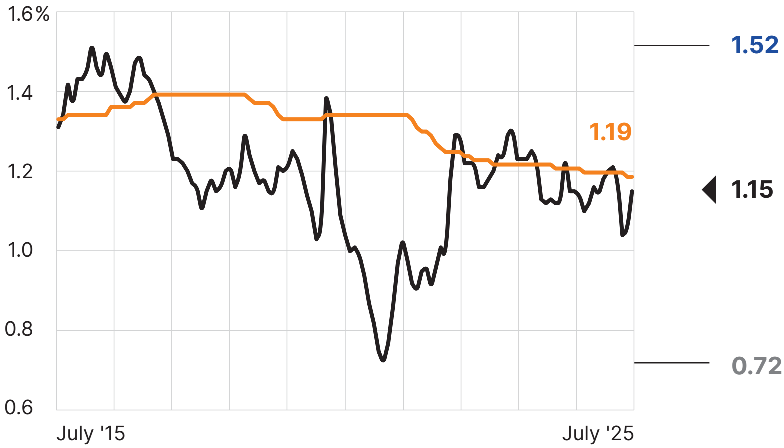
Sensex price-to-book ratio



The **price-to-book (P/B)** ratio reflects what investors are willing to pay for each rupee of net assets. With book value being more stable than earnings, it's often considered a better valuation measure than P/E.

If:
P/B > Median P/B = Overvalued
P/B < Median P/B = Undervalued

Sensex dividend yield

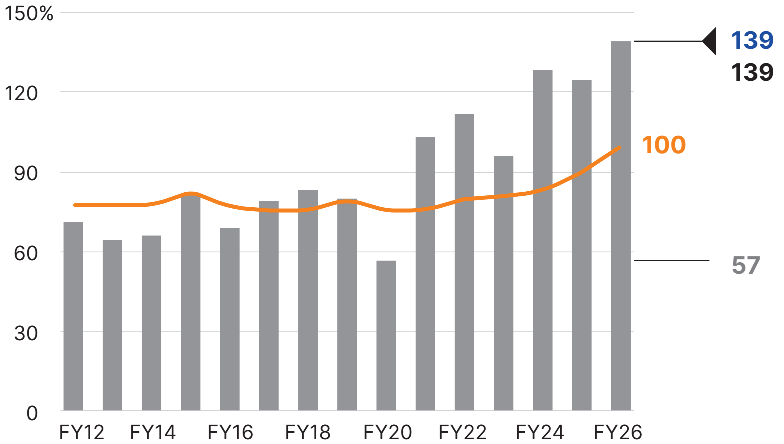


Dividend yield represents the return an investor earns through dividends. It's calculated as dividend per share divided by price per share. Typically, higher dividend yields indicate cheaper stock prices.

If:
Dividend yield < Median dividend yield = Overvalued

Dividend yield > Median dividend yield = Undervalued

Market cap-to-GDP

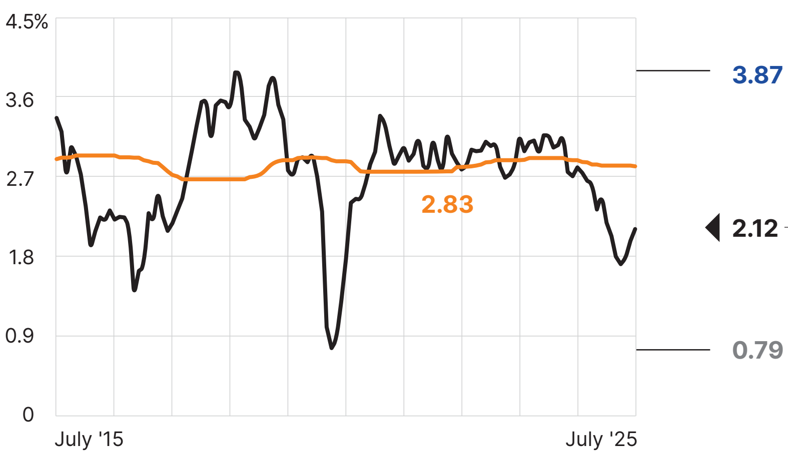


The **market cap-to-GDP ratio** is Warren Buffett's favourite valuation metric, calling it 'the best measure of market valuations at any given moment.'

If:
Market cap > GDP = Overvalued
Market cap < GDP = Undervalued

Considering the cumulative market cap of BSE-listed companies and the nominal GDP estimates: final for FY23, first revised for FY24 and second advanced for FY25.

10Y G-sec yield gap to Sensex earnings yield



The **spread** between the 10-year government bond yield and Sensex earnings yield (inverse of P/E) is a key valuation metric.
A significant deviation from the median indicates the degree of the Sensex's overvaluation or undervaluation.
If:
Spread > Median = Overvalued
Spread < Median = Undervalued

All data as of July 15, 2025

10 lessons to weather market storms

Illustrations: ANAND

Revisiting James Montier's teachings from the 2008 financial crisis

After the global financial crisis of 2008–09, many believed the investing world would never be the same. For a while, it seemed true—markets were shaken, trust was broken, and risky behaviour had been exposed. But by mid-2009, stock prices were rising again. Confidence returned faster than caution. Just like that, it felt as if the crash had been little more than a bad dream.

James Montier, then a strategist at asset management firm GMO and one of the most respected voices in behavioural finance, was alarmed by this rush to forget. In early 2010, he published a powerful white paper titled, 'Was It All Just A Bad Dream?' In it, he listed 10 lessons that investors should have learned from the crisis but didn't.

15 years later, his words are just as relevant. Each lesson reflects not only market behaviour but human behaviour. If we want to be better investors, it helps to remember what Montier warned us about.

1. Markets aren't always right

Montier starts by challenging a belief that many in finance take for granted—the idea that markets are efficient. But Montier calls this belief dangerous. He argues that faith in EMH led investors and policymakers to ignore clear signs of trouble in the years leading up to 2008. Because people assumed that markets couldn't be wrong, they didn't question what was happening, even when risks were rising fast.

Case in point: Despite a history of losses, Zomato had a euphoric listing which ultimately crashed by around 50 per cent when reality ultimately set in.

2. Chasing others can hurt your own results

Montier next targets the obsession with "relative performance", trying to beat peers or benchmarks rather than focusing on long-term wealth creation. Many fund managers build portfolios not around conviction, but around what others are doing. They stick close to market indices to avoid looking bad if things go wrong. As a

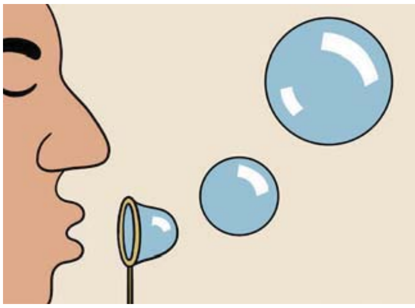
result, even their best ideas get watered down by filler positions added just to avoid tracking error.

Montier highlights studies showing that fund managers' top picks often beat the market but their overall returns are pulled down by the rest of their holdings. As he puts it, "Benchmark hugging may protect your job, but it doesn't grow your capital".

3. All bubbles feel different, but they're not

One of the oldest market myths is the phrase, "this time, it's different". Montier strongly disagrees. He explains how all bubbles follow the same five stages:

- Displacement – a new opportunity or trend excites the market
- Credit creation – money floods in through easy borrowing
- Euphoria – prices rise fast and everyone wants in
- Distress – cracks begin to show and some start to panic
- Revulsion – confidence collapses and prices crash



This cycle has played out many times. But each time, people believe it won't happen again.

Montier's point: investors don't need new mistakes, they just repeat the old ones with new stories.

4. Valuation is still the anchor

One of Montier's simplest yet strongest lessons is that buying something cheap usually works out better than buying something

expensive. Montier uses valuation such as the P/E ratio to show that stocks bought at lower prices have historically delivered higher long-term returns. But in bull markets, investors often convince themselves that high prices are justified. In his view, "overpaying for even a great business is still overpaying".

Although a great business, higher valuations three years ago have made the stock a dull performer since then. Great company ≠ great investment if you overpay.

5. Investing requires patience

Montier borrows a famous idea from Warren Buffett: Wait for the fat pitch. This means you don't need to swing at every opportunity. Just wait for the right one and go big. Yet most investors are impatient. The average holding period for a stock on the NYSE ranges between a few months. That's hardly enough time for a business to deliver results.

As Montier reflects, "time is the friend of the wonderful business and the enemy of the mediocre one".

Take Bajaj Finance, for instance. It crashed over 80 per cent in 2008–09,

but those who held on saw it surge over 1,00,000 per cent in 15 years.

6. Sentiment swings matter

Investing isn't just about numbers. It's also about mood. Montier highlights how market sentiment—how optimistic or fearful people are—affects returns. He refers to research showing that stocks do better when investor sentiment is low. When people are scared, they tend to sell good companies at bad prices. That's often when the best buying opportunities appear.

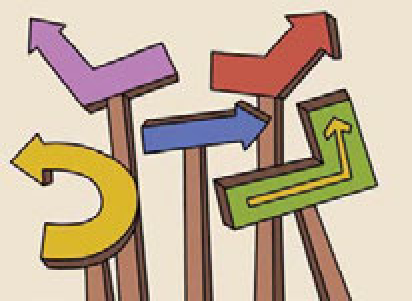
PSU sentiment was at an all-time low in 2018-20, a period when SBI was actually improving its business but still traded below book value. But as sentiment improved in 2021–24, the stock more than doubled.

7. Leverage adds risk even to good ideas

Using borrowed money (leverage) can boost gains but it can also amplify losses. Montier notes that leverage played a big role in turning the 2008 correction into a full-blown crisis. Even if you're holding strong investments, high leverage means small price drops can force you to sell. As he puts it, "if you can't survive the downturn, the upside doesn't matter".

8. Complex is not better

Montier takes aim at the finance world's love for complicated models and formulas. He says these tools often give investors a false sense of control. But during the 2008 crisis, these models failed to predict anything useful. They looked scientific but were based on flawed assumptions. "Just because a model spits out a number doesn't make it right. Simplicity is underrated", he says.



Take IL&FS, for instance, which used complex SPVs and opaque financing structures that masked its true debt exposure. Its ratings remained high until the crisis exploded in 2018, causing a domino effect in the NBFC space.

9. Don't ignore the big picture

Many investors focus only on picking good companies and ignore the broader economy. Montier believes that's a mistake.

Before the 2008 crash, macro signals were flashing red—debt levels were soaring, credit was too easy, and housing prices were unsustainable. But bottom-up investors missed the forest for the trees.

Montier argues that even if you're a stock picker, you need to understand the world your investments operate in. Macro factors matter.

10. Think about protection before the storm

The last lesson is about insurance—not the kind you buy from a company, but the kind you build into your portfolio. Montier says investors often ignore protection until it's too late. After a crisis hits, people rush to reduce risk. But by then, defensive moves are expensive or ineffective.

As he aptly puts it, "Risk management is about preparing for what you can't predict—not reacting after it happens".

During the March 2020 Covid crash, for instance, companies with strong balance sheets like TCS and Nestle held strong and recovered faster because they had enough buffers. Investors who held diversified portfolios with these names saw quick rebounds.

Remember

Montier's lessons still sting because they remain ignored. Crises may change shape, but the investor mind rarely does. If anything endures, let it be memory. ☑

VIS-A-VIS

Glass-lined, battle-tested

A head-to-head between two equipment manufacturing heavyweights

GMM Pfaudler

GMM Pfaudler is India's leading manufacturer of glass-lined equipment for the chemical and pharmaceutical industries. The company operates a vertically-integrated business with offerings spanning engineered systems, filtration & drying, and heavy engineering. Its India operations contributed 29 per cent to FY25 revenues, while the international business (mainly through Pfaudler Group) accounted for the rest.

HLE Glascoat

HLE Glascoat makes specialised machines used by chemical and pharma companies to safely handle, filter, dry and mix materials. Its business is divided into three segments: glass-lined equipment, filtration and drying systems and its German unit, Thaletec. In FY25, 54 per cent of its revenue came from India, with the rest from exports. It caters to its customers from over 75 countries through its two main factories in Gujarat.

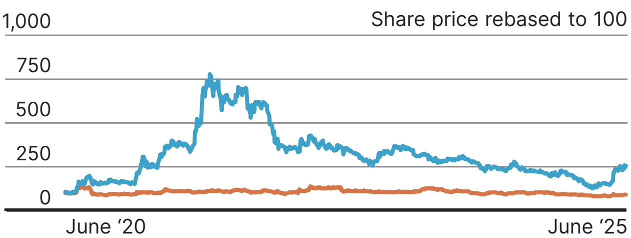
Industry overview

The glass-lined equipment industry is closely tied to the chemical and pharmaceutical sectors, which rely on corrosion-resistant machinery for safe and contamination-free processes. The glass-lined equipment market in the pharmaceutical sector is expected to expand to ₹8,500 crore by 2027 from ₹6,000 crore in 2023. The market for the chemical industry is also expected to rise to ₹780 crore by 2028. Demand is driven by expansion in specialty chemicals, pharma manufacturing and stricter environmental and safety regulations worldwide. ☑

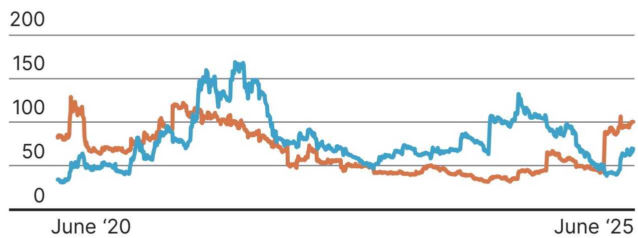
Financials (₹ cr)

Revenue	Operating profit	Net profit	Net worth	Total debt	Cash from operations	Market cap
3,199	222	53	1,030	651	134	5,728
1,028	104	62	554	350	632	3,031

Price chart

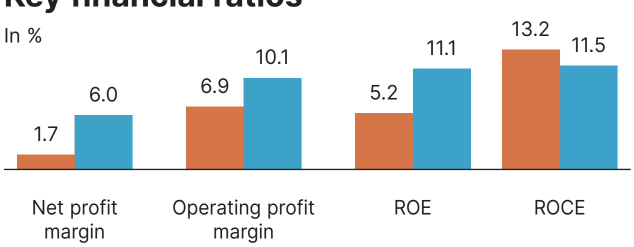


P/E chart

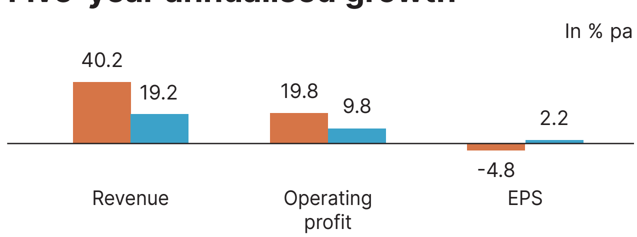


Price to earnings	Price to book	Dividend yield (%)	Debt to equity
101.2	5.2	0.2	0.63
68.6	6.9	0.2	0.63

Key financial ratios



Five-year annualised growth



Price data as of June 30, 2025. Financials as of FY25.

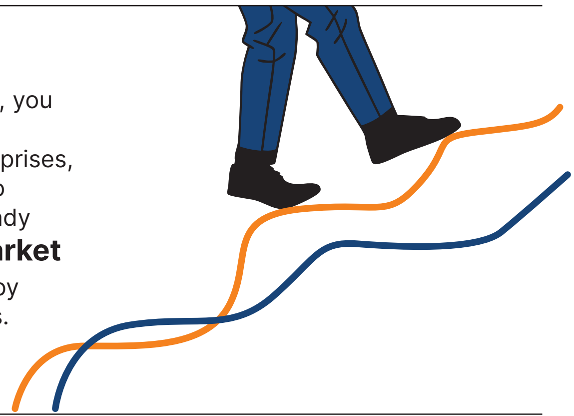
MIRAE ASSET
Mutual Fund

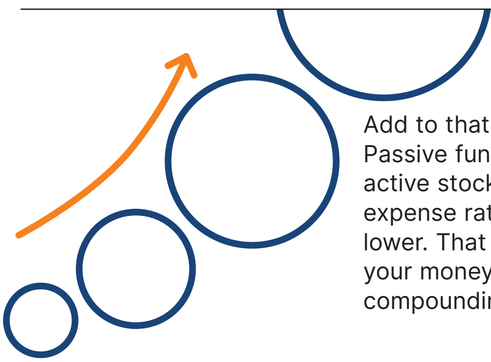
Why passive funds are ideal for conservative investors

If you prefer caution over thrill, clarity over guesswork, and consistency over chasing the next big thing, you're not alone. Many investors value **simplicity**. And when it comes to growing your money without unnecessary risk, passive funds fit the bill.

Passive funds, including index funds and exchange-traded funds, track a market index. That means they don't try to beat the market. They aim to match it. This rules-based approach avoids speculative bets and offers broad market exposure without constantly shifting strategies.

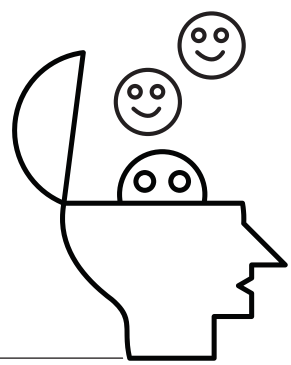
With passive funds, you know what you're investing in. No surprises, no sudden portfolio overhauls; just steady participation in **market growth**, backed by time-tested indices.





Add to that **low costs**. Passive funds don't require active stock-picking, so their expense ratios are typically lower. That means more of your money stays invested, compounding quietly over time.

For conservative investors, it's the **peace of mind** that matters. With passive funds, you're not trying to win the market. You're working with it steadily, sensibly, and with far less stress.



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Mutual fund investments are subject to market risks, read all scheme related documents carefully. You may consult your Financial Advisor or Mutual Fund Distributor before taking investment decisions.

BSE India Infrastructure

-17.1% 1Y return of BSE India Infra

2.4% 1Y return of BSE Sensex

6.8% TTM cumulative revenue growth

-1.2% TTM cumulative PAT growth

Key numbers

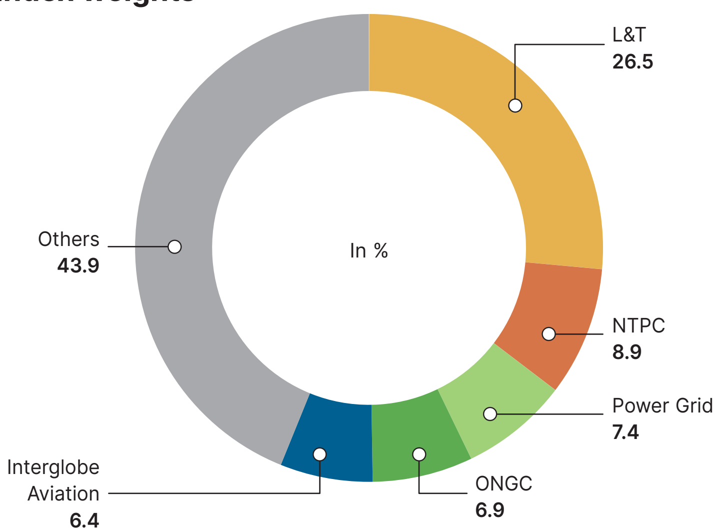
16.2
Price to earnings

3.0
Price to book

1.73
Dividend yield (%)

37.3
Market cap (₹ lakh cr)

Index weights

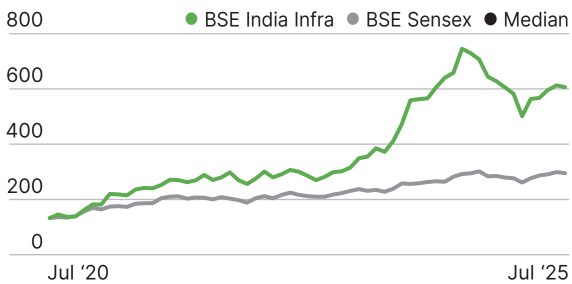


Valuations, dividends and returns

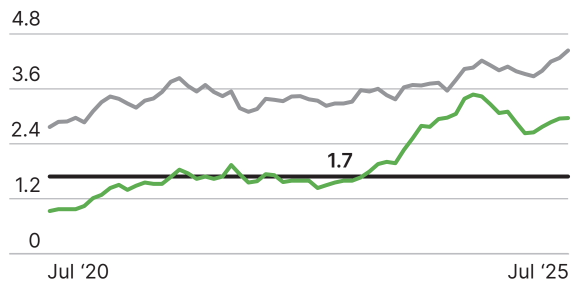
Company	Stock Rating	P/E	P/B	Dividend yield (%)	1Y return (%)
Interglobe Aviation	★★★★	31.6	24.5	0.2	35.2
Jaiprakash Power	★★★	20.7	2.0	0.0	32.6
GSPL	★★★★★	16.4	1.6	1.5	-0.2
KEC International	★	41.0	4.4	0.6	-0.8
CESC	★★★	17.6	2.0	2.5	-0.9
Adani Ports	★★★★	28.1	5.0	0.5	-3.3
Larsen & Toubro	★★★	32.0	5.0	1.0	-4.3
GMR Airports	Unrated	-	-35.8	0.0	-6.2
Tata Power	★★★	32.5	3.6	0.6	-8.1
Torrent Power	★★★	23.5	4.0	1.4	-8.3

Data as of July 15, 2025

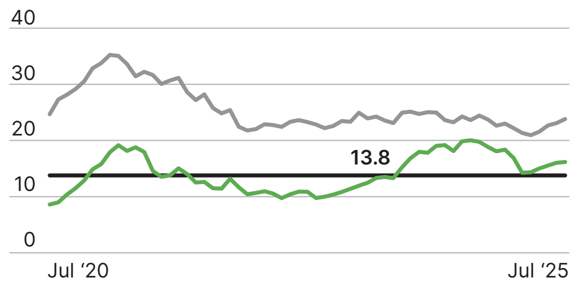
Index movement



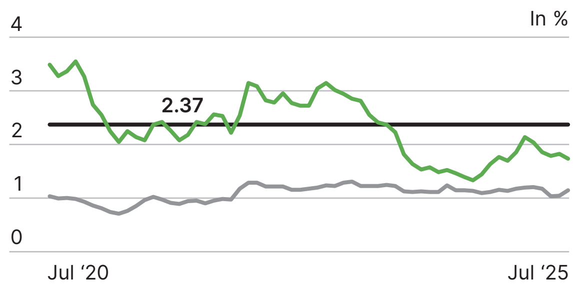
Price-to-book ratio (P/B)



Price-to-earnings ratio (P/E)



Dividend yield



ANALYST'S DIARY

The silent churn in India's white goods market

Despite the demand surge, a silent shakeout is reshaping the consumer appliances industry

Sales of white goods in India have been steadily scaling new highs. A growing middle class, rising disposable incomes, and deeper rural penetration have pushed demand upward. But the same can't be said of the stocks in this space. In the past year, Whirlpool has slipped 29 per cent, IFB Industries 10 per cent, Havells 13 per cent and Voltas 6 per cent. This is not a case of weak fundamentals. Most companies are profitable, generate regular cash flows and command recognisable brand equity with vast distribution networks. So, what's holding them back?

A crowded battlefield

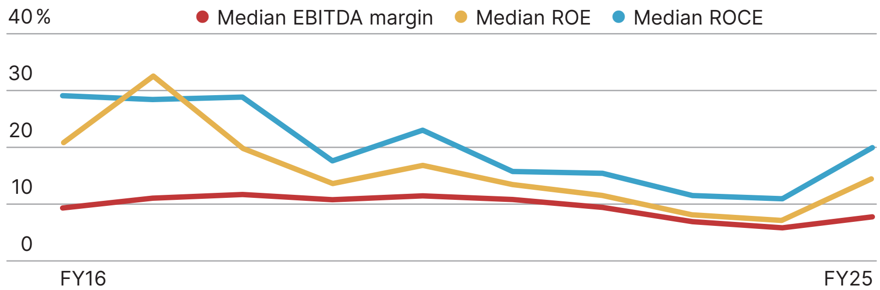
The answer lies in the market's own success. India's consumer appliance market—large, underpenetrated and growing—has long attracted an eager queue of contenders. As consumption took off in the 2000s, global and domestic players alike rushed in, looking for their share of the pie.

This surge brought unintended consequences. The market became fragmented, price-led and increasingly commoditised. In the absence of meaningful product differentiation, margins began to shrink and companies resorted to discounts to stay relevant.

Most brands have built strength in specific product lines—air conditioners, refrigerators, washing machines—but very few managed to deliver across categories. That has created a patchwork of players, all vying for wallet share and most struggling to make it work at scale.

Profitability losing steam

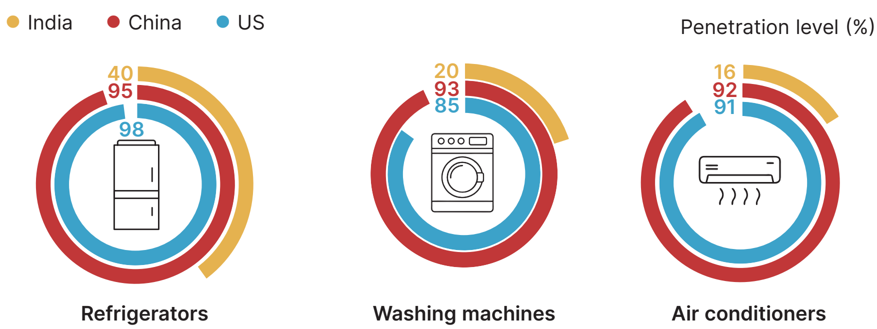
Rising competition and commoditisation have eroded profitability



Data is based on median averages of Symphony, Whirlpool of India, IFB Industries and Voltas

Low penetration, high potential

India's low penetration sets the stage for decades of volume-led growth



Source: Electronic Mart's FY25 investor presentation

A wave of exits

That strain is now beginning to show. A series of developments—some confirmed, some speculative—suggest a churn in the industry.

- Haier India is reportedly up for sale. Warburg Pincus and Sunil Mittal's Bharti Enterprises are said to be in the fray, but the bids are apparently well below the asking price.
- LG India has shelved its much-awaited IPO. Soft FY25 numbers and an indifferent market response have put the ambitions on hold.

Valuations still running hot

Valuations remain rich across the board, leaving little margin of safety

Company	HAVELLS	IFB	Symphony	VOLTAS	Whirlpool
PE	65.1	45.4	36.2	57.3	49.0
EV/EBITDA	37.5	15.8	21.7	33.6	23.3
Price to sales	4.4	1.1	4.9	3.1	2.3
VR Valuation Score	3	4	4	3	4

Data as of July 11, 2025

- Whirlpool's global parent has been gradually offloading its stake in the Indian subsidiary and is expected to become a minority shareholder. Names like Reliance and Havells are reportedly eyeing the stake.
- Panasonic, in perhaps the most drastic development, has exited the refrigerator and washing machine business entirely.

Individually, each of these may appear isolated. Together, they signal something bigger: a wave of exits and pullbacks that could lead to long-overdue consolidation in the sector.

Demand is not the problem

This churn should not be mistaken for industry decline. The long-term story remains intact. India's appliance penetration continues to lag global averages, leaving ample headroom for growth. The rise of replacement demand, fueled by shorter product life cycles and newer features, adds further momentum. Consumer spending remains buoyant as incomes rise and households upgrade to premium products.

Companies aren't sitting idle either. IFB Industries is targeting margin expansion through cost controls and price hikes. Voltas has delivered record profits in FY25, led by booming AC demand. Havells is betting on its Lloyd segment to drive the next leg of growth. Whirlpool, despite its parent's exit plans, continues to generate free cash flow while sharpening product mix and distribution.

The business opportunity remains vibrant. But the industry is clearly in transition.

Survival of the fittest

Any industry with low entry barriers, attractive growth and high perceived margins will inevitably draw excess competition. That often sets off a brutal cycle of pricing wars and falling returns, as is now unfolding in India's white goods space.

Eventually, markets self-correct.

Weak or inefficient players bow out, leaving the field to those with stronger cost structures, scale advantages and brand recall. This dynamic is now visibly at play. The exits and strategic retreats may be painful in the short term, but they clear the path for a healthier industry structure over time. It feels like an inflexion point: competitive intensity has likely peaked, and the coming years may mark a turn in fortunes for stronger players.

But are the stocks a buy?

Not quite yet. Despite the recent underperformance, valuations remain rich due to investor optimism around long-term demand. The market might be pricing in the eventual benefits of consolidation without factoring in the uncertainty of the transition. And that transition, to be clear, is still underway. Several of the developments remain unconfirmed. Others may take longer to play out.

Watch this space

Still, the writing on the wall is hard to ignore. A deep structural shakeout is in motion. That doesn't make these stocks automatic buys, but it does make them worthy of attention. For long-term investors, this may be a good time to identify which companies are emerging stronger from the churn. Coming years could reveal who gains share, who manages costs better and who scales efficiently in a post-consolidation environment. The white goods industry may not be flashing 'buy' signals yet. But the silent churn underneath suggests that a new order is forming. And when the dust settles, the winners might be worth owning. ☑

By Kunal Bansal

Cleaning up, cashing in

India's wastewater overhaul is opening doors for companies with deep technical know-how

Every day, India dumps more sewage into its rivers than it can clean. Over 72 billion litres flow out of cities daily. Yet only 32 billion litres reach treatment plants and just 20 billion litres get actually treated. The rest flows, untreated, into rivers, lakes and groundwater—contaminating the very sources that sustain our lives.

In rural and semi-urban India, the challenge is even more acute. Tier-2 towns—smaller, fast-growing centres—treat barely 5 per cent of their wastewater. Rural areas contribute another 39 billion litres of mostly unmanaged sewage. This isn't a one-off failure but a full-blown infrastructure crisis.

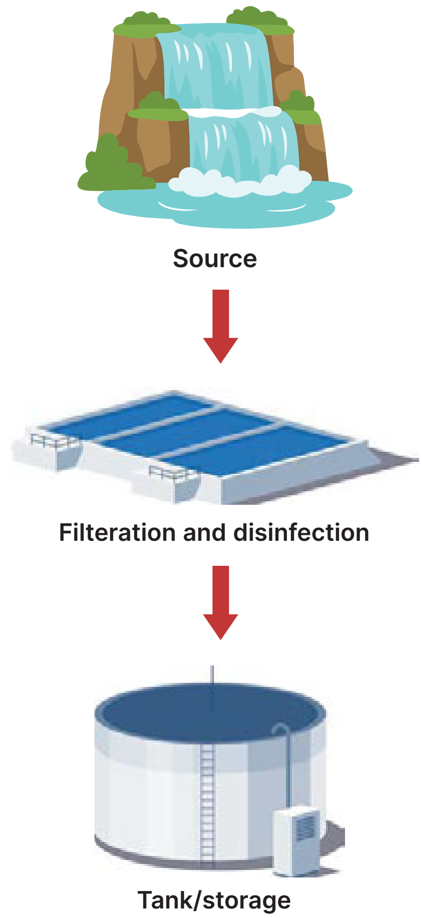
On the other hand, even as water bodies get choked with waste, demand for clean water continues to rise. India's water requirement is projected to grow from 843 billion cubic metres (bcm) in 2025 to 1,180 bcm by 2050. Per capita availability is expected to drop dangerously close to the water-stress threshold.

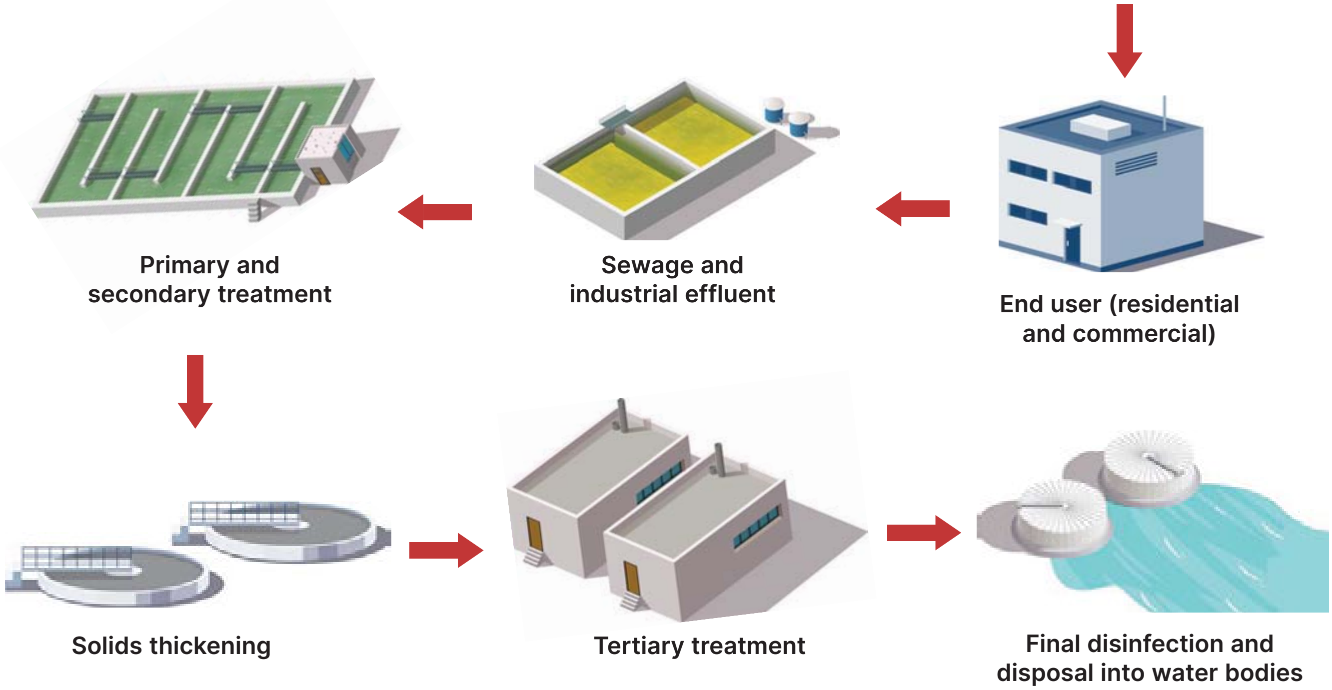
That makes the message clear: India doesn't just need more water. It needs better systems to clean, recycle and manage what it already has.

A meaningful policy push

The good news? The government is no longer dragging its feet. A series of ambitious policy programmes are now pumping serious money into

From tap to treatment





Stocks tapping the water treatment opportunity

● Market cap (₹ cr) ● Stock Rating

VA Tech Wabag 9,198 ★★★	A pure-play EPC and O&M company that designs, builds and operates water, wastewater, and desalination plants across India and abroad. Entirely focused on water infrastructure with 38 per cent of its revenue coming from international markets.
Ion Exchange 7,987 ★★★	A diversified water-tech player with engineered plants (large-scale water and sewage treatment), Ion-Exchange resins, specialty water chemicals and O&M services. Around 58 per cent of revenue comes from the engineering division alone, while the chemicals business pushes total water-linked revenue above 90 per cent.
EMS 3,484 ★★★★	Executes turn-key EPC projects and long-term O&M for sewerage networks, sewage treatment and urban drinking-water supply schemes for state utilities. Water and wastewater projects account for around 75 per cent of the company's revenue.
Welspun Ent. 7,461 ★★★	An EPC developer and operator of bulk water supply and wastewater projects under PPP and HAM models, offering 15-year O&M contracts. As of FY25, water contributes 62 per cent of revenue, with 63 per cent of the order book tied to water infrastructure.
SPML Infra 1,764 ★★	A 40-year old specialist in urban and rural drinking-water supply, distribution networks, and sewage treatment, now exiting non-water verticals. Over 85 per cent of revenue comes from water infrastructure, including wastewater treatment.
L&T (WET SBG) 5,05,761 ★★★	Its water and effluent treatment business executes mega river-linking, desalination, irrigation, sewerage, and water-reuse projects, along with O&M services. As of FY25, water projects make up around 9–10 per cent of its ₹5.8 lakh crore order book.
Enviro Infra Eng. 4,160 Unrated	Handles EPC and 15-year long O&M pacts for municipal sewage treatment plants and common effluent treatment plants and water supply schemes. Nearly 97 per cent of revenue comes from water infrastructure, split almost evenly in FY25 between wastewater treatment (48.8 per cent) and water supply projects (48.4 per cent).
Praj Industries 9,321 ★★★	Its engineering segment caters to industrial wastewater treatment, zero-liquid-discharge systems, and high-purity water solutions (HiPurity). In FY24, water and wastewater treatment contributed around 20–25 per cent of revenue.
Concord Enviro 1,196 Unrated	A pure-play industrial player offering zero liquid discharge, recycle-and-reuse and MBR-based wastewater treatment plants, with spares and O&M providing steady annuity income. Water infrastructure contributes 10 per cent of total revenue, driven by EPC (60 per cent) and O&M (20 per cent) within that segment.
Jash Eng. 3,640 ★★★★	Makes water-control gates, screens and specialised valves used in sewage treatment plants, dams and intake systems—exporting to over 45 countries. Nearly all revenue is indirectly water-linked with gates alone contributing 63 per cent.

the sector. Successive policies—from AMRUT 2.0 and Swachh Bharat Urban to Namami Gange and the Jal Jeevan Mission—have begun to tackle the problem at scale. Together, they account for over ₹4.4 lakh crore in government funding for sewage networks, treatment plants, river clean-ups and rural tap water systems. That kind of spending doesn't just plug a gap, it builds a market.

An opportunity with moats

With policy tailwinds at its back, the water treatment industry, projected to grow at 6.2 per cent annually till 2033, is quietly becoming one of the most promising corners of the infrastructure economy.

What makes this space especially interesting is its complexity. Unlike a road or flyover, a water treatment plant is a highly specialised system. It demands a blend of civil engineering, microbiology and chemistry. Each project must be customised to local water conditions, designed with automation and remote monitoring, and backed by long-term performance guarantees.

For investors, that's good news. High complexity means high entry barriers and robust margins. Long project lifecycles mean recurring revenues, making the industry a fertile investable universe. Due to the technically demanding nature of the business, an entire value chain is maturing—from project design and equipment procurement to long-term operations and maintenance.

In the above table, we have spotlighted a handful of companies that are building enduring capabilities in this space. ☑

By Satyajit Sen

ANALYST'S DIARY

Can this jeweller scale up without cracking trust?

PN Gadgil Jewellers is scaling fast but governance issues loom

AI-generated image

Less than a year after hitting the bourses, PN Gadgil Jewellers has another big goal: to outshine jewellery giant Tanishq in its home turf, Maharashtra. With over 95 per cent of its revenue coming from this state alone, PN Gadgil has plans to scale up in Maharashtra before aiming for a nationwide rollout.

The target? To establish 20-25 stores this financial year and surpass Tanishq's 61-store footprint in Maharashtra, both in count and revenue, over the next two years.

At first glance, the numbers make it sound doable. (PNG) PN Gadgil runs an efficient business with a high inventory turnover and one of the best revenue-per-square-foot figures in the industry. But there's more to this story. Beneath the glitter lie concerns around governance and capital allocation that investors would do well to examine.

What's working for PNG

High inventory turnover: PNG's strongest suit lies in its asset-light, high-efficiency model, something that's rare to find in the jewellery space, where most players tie up significant capital in gold inventory. The company leans heavily on a made-to-order model, where customers place orders and pay in advance. This model now contributes 30-40 per cent of PNG's sales, allowing the company to avoid locking up cash in idle stock. As a result, PNG's inventory turnover ratio stood at 5.2 times in FY25, one of the highest in the industry, which further lends itself to the company's healthy three-year average ROE of 23 per cent, significantly ahead of most listed peers.

Cost efficiency: The operational discipline also extends to store formats. PNG operates compact stores (3,200 square feet), compared to the industry average of 4,000-5,000 square feet. Each outlet holds ₹30-35 crore in inventory, keeping both costs and space efficient.

The road ahead

Armed with this solid base, PNG is now shifting gears. Here's how:

Pushing high-margin products: Currently, only 8 per cent of PNG's sales come from studded jewellery – items that include diamonds and gemstones. These products typically command higher margins. By contrast, larger peers like Tanishq and Kalyan have much higher stud ratios. PNG now plans to push this up to 15 per cent, which could lift its EBITDA margins going forward.

Exiting low-margin B2B verticals: Until FY25, PNG also operated in the bullion and refinery business, serving B2B clients. But margins here were razor-thin – under 1 per cent. PNG exited this vertical in Q4 FY25, a move that should help improve blended profitability by focusing solely on the higher-margin retail segment.

Stock Rating	Quality Score	Growth Score	Valuation Score	Momentum Score
★★★	5/10	7/10	4/10	7/10

Data as of July 3, 2025

How PN Gadgil fares against peers

Company	Titan (Jewellery)	Kalyan Jewellers	PN Gadgil Jewellers	Thangamayil Jewellery	Senco Gold
Total number of stores	1,091	351	53	60	175
Revenue per store (₹ cr)	43	71	145	82	36
EBITDA margins (%)	10.2*	6.1	4.8	4.6	5.8
Stud ratio (%)	30	26	8	8	11
Net profit (₹ cr)	4,764*	714	218	119	165
MD & CEO salary (₹ cr)	12.5	12.1	22.4	0.72	3.1

The numbers are for FY25; MD & CEO remuneration for FY24; *Titan Jewellery's EBIT margin.

What could go wrong

While PNG's plans seem achievable, it's not all hunky-dory. Here's why.

Geographical concentration of revenue: With 95 per cent of revenue still coming from one state, PNG is highly exposed to regional risks. While it has plans to expand into states like Uttar Pradesh and Madhya Pradesh, these are ultra-competitive markets, where bigger players already have strong brand recall and deep networks. Whether PNG can replicate its model and brand pull in these markets remains an open question.

Expansion at the cost of returns: Adding 20-25 stores in a single year will require heavy investment in store setup and inventory. That means there can be short-term pressure on return ratios like ROE and ROCE, which could drop before the new stores begin contributing meaningfully.

Governance red flags: In FY24, PNG's MD and Chairman Saurabh Gadgil drew a ₹15 crore salary, a 2 per cent profit commission and ₹5.9 crore as royalty for brand usage. This is unusually high, especially when compared to more professionally managed peers. Royalty payments to promoter families may raise eyebrows but when combined with large salaries and profit-linked payouts, they signal poor capital discipline.

Final word

With sound operations, a focus on growth and high ambitions, PNG is a company to watch out for. Its made-to-order model, compact store formats and Maharashtra playbook have worked well in its favour.

However, as the company considers expansion, success will depend not only on store count or revenue growth but also on governance, transparency and capital allocation.

The market seems to be factoring this in. Despite its high growth, PNG trades at a P/E ratio of around 37 times, which is below that of its peers with stronger governance and a wider geographic spread. Until these are addressed, the stock may not get the premium it desires. ☑

By Abhinav Goel

INTERVIEW

MEENAKSHI DAWAR
Senior Fund Manager - Equity Investments, Nippon India Mutual Fund

How this fund manager avoids value traps

Inside Meenakshi Dawar's rulebook on value investing

With over 13 years of experience in equity research and fund management, Meenakshi Dawar, Senior Fund Manager at Nippon India Mutual Fund, brings a sharp eye for market cycles and value opportunities. In this interview, she explains why today's market is in a consolidation phase, where she's spotting signs of recovery and how her team separates undervalued stocks from value traps. She also breaks down her dual-bucket investment approach, the evolution of market valuations and the qualitative lens she applies to ride a stock from value to growth, without getting caught in the value trap.

Could you walk us through your investment framework—the principles that guide your stock selection and sector calls?

Sector calls are a very top-down process for us. When we decide on a sector, we evaluate its long-term potential. If a sector has been through a difficult period, say, over the last three to four years, but now shows signs of a growth turnaround, we become very positive about it.

We also look for sectors where we believe strong compounding can take place over a long period. For instance, every stock in a sector has a cyclical element. Even consumption, which is a structural theme in India, can show cyclical growth, as we saw in the past few years. And individual stocks are even more cyclical because they price in a certain level of growth; if that growth doesn't play out, the P/E de-rating can be quite sharp. So, that's how we approach sectors: we assess the long-term growth potential and identify inflexion points. Stock selection, on the other hand, is a very bottom-up process. I personally divide it into two buckets. One is where we want to play compounding stories within sectors. These are typically market leaders—companies with strong management, sound capital allocation and the ability to keep gaining market share. Over time, they keep getting bigger and stronger within their sectors. The other bucket is undervalued stories. These are companies that have not performed well because the sector has been in a bad phase. Such companies go through financial stress; their balance sheets and P&L (profit and loss) statements weaken and profitability falls. But when the sector begins to revive, these companies tend to benefit from both operating and financial leverage. We also selectively choose names from this bucket, employing a strict bottom-up approach.

How do you determine whether a stock is undervalued? Is there any framework or metric you follow and what is the general process for identifying such stocks?

One metric that proves quite handy when identifying value stocks is focusing on the company's cash flow generation potential. If a company, even during a tough phase, is still able to generate a significant amount of cash flows, that becomes our first screening criterion. It shows there's a base level of financial resilience and longevity in the business.

Now, when you're identifying value stocks, you're essentially not taking valuation risk because these companies are already trading at the lower end of the valuation spectrum. So, the greater focus must be on business risk. You've taken care of valuation risk, but now you need to assess whether the business fundamentals are likely to deteriorate further or if it's a temporary phase. If we gain conviction that this is only a temporary slowdown and that, as the cycle turns, the company's fundamentals will recover, then we consider whether the business fits our value framework.

What exactly is value buying? You're looking at companies that may not be growing right now but are still generating cash, so when do you decide to enter such stocks?

We enter when we see that there is no valuation risk. These companies, for instance, may be trading at valuations two standard deviations below their long-term market multiples. The real decision point is when the business turns.

Now, a common mistake in value investing is falling into value traps, companies that appear cheap on valuations but whose business fundamentals never improve as expected. Avoiding value traps is critical. The only way to do that is by developing a strong view on the business potential of the company.

If the fundamentals have only temporarily deteriorated and you believe that the company will bounce back once the environment improves, then you stay with it. Take the Covid period, for example. Many infrastructure and capex-related companies went through a long period of low growth. Their valuations fell below even 10-year averages. So, the key decision was, will these companies revive as the economic cycle turns, or are they in long-term decline? If you believe that these are core sectors for India and will benefit from future growth, you buy them at depressed valuations and wait for the cycle to turn.

Value traps often disguise themselves as value opportunities. Besides the business recovery aspect, what else helps you differentiate between the two?

The key to avoiding value traps is to understand the longevity of the company. If the company survives, you'll make money when the cycle turns. If not, and the company loses its place in the industry or deteriorates further, it remains a value trap.

How do we assess longevity? First, the balance sheet must be healthy. There should be enough cash flow to sustain operations and leverage should not be so high that extended stress renders the company insolvent.

Second, within the sector, the company should retain relevance, whether in terms of market share, how the management is running the business or the capital efficiency of the firm. If these elements are intact, the company has the potential to recover.

But if a company is draining cash, misallocating capital or failing to innovate, then it's likely to remain a value trap.

We've also seen entire sectors in India become irrelevant over time. Do you factor this into your value assessments?

Absolutely. Some sectors undergo structural shifts that make them irrelevant. Take the media space, for instance. Within that, broadcasting and DTH (direct-to-home) companies saw disruption from digital and streaming platforms. No matter what valuation you bought them at, these businesses didn't remain viable five or six years later.

That's why it's important to distinguish between a company that is temporarily struggling versus one in a structurally declining industry. Even if valuations look attractive, if the business model itself is outdated, it won't deliver returns. That's a classic case of a value trap.

The idea of what constitutes "low valuation" keeps shifting. How has that influenced or changed your investing approach over the years?

That's a very fair point. You cannot expect that the kind of multiples India was getting 10–15 years ago will still hold true today. That's no longer the case. There are a few reasons for this.

First, the ROE (return on equity) profile and the balance sheet strength of companies have fundamentally changed. If you compare today's ROE generation with that of 15–20 years ago, it's quite different. Leverage levels on corporate balance sheets have also come down.

Second, the liquidity profile of Indian markets has structurally changed. We were far more dependent on foreign institutional flows back then. Today, we have a significant and stable pool of domestic liquidity. As a result, companies don't fall to stress-level valuations as frequently as they did earlier.

So yes, we must acknowledge that the structure of the market has evolved and it's unrealistic to expect the same deep discount, 'bankruptcy-level' valuations to show up often. That said, our valuation framework remains the same. We look at the cash flow generation potential of the business and whether the current market cap reflects that potential accurately.

If there's a disconnect between the market's perception of a company's growth potential and our belief, that's where valuation arbitrage emerges, and that's where the opportunity lies.

Once a value stock begins to re-rate, how do you decide when to exit? Do you sell based on intrinsic value or continue holding if fundamentals keep improving?

That's a very relevant question for any value investor. If you sell the stock the moment your expectations are priced in by the market, and you don't ride the full cycle of market inefficiencies correcting themselves, you may miss out on supernormal returns.

In my experience, what works best is holding the stock as long as the business fundamentals continue improving. Whether it's growth, ROE delta or cash flows, if the underlying fundamentals are trending positively, we keep holding the stock.

Companies have deleveraged and quality has improved; it is unrealistic to expect deep discounted valuations

We don't have a hard exit rule like selling when the stock reaches market P/E multiples or when it trades one standard deviation above its historical average. Instead, we monitor the trajectory of the business. If the company continues to grow and the market keeps upgrading its earnings estimates, we will stay invested.

So yes, in a sense, we ride the stock from value to growth and only exit when we see signs of business deterioration.

This edition of Wealth Insight has a cover story on low P/E stocks with re-rating potential. Do you think that's a sound strategy? What are some common pitfalls?

It's an excellent strategy. In fact, most multibaggers are made this way. You find a company that's undervalued and then it delivers both earnings growth and valuation re-rating. That combination is powerful.

But the key pitfall here is buying a low P/E stock and simply waiting for a re-rating, which may never happen. Sometimes, the fundamentals don't improve, or the business doesn't survive the next 5–6 years. Often, low P/E valuations reflect market doubts about business longevity.

The bigger risk is not just capital loss; it's opportunity cost. While your low P/E stock goes nowhere, a high P/E stock with strong earnings momentum could keep compounding at 15–20 per cent annually. Over a couple of years, that growth creates a performance gap of 60–70 per cent that your value pick may never recover from. So yes, re-rating is a sound strategy, but only when growth assumptions are validated.

What qualitative checks do you run to ensure the growth assumptions behind the re-rating thesis are solid?

Qualitative checks are critical. First, we need alignment with the company's vision and management clarity. We look for a management team that has a well-defined plan for business execution and a roadmap to get back to the growth path.

Second, we evaluate the entire ecosystem around the company—vendors, suppliers, channel partners—to see if the company is doing everything within its control to seize future opportunities.

These checks help us assess whether the company is ready to capitalise on sectoral growth when the cycle turns. ☑

COVER STORY

Undervalued, Underestimated, Unbeatable

10 low-P/E stocks for outsized gains

By Udhayaprakash, Kunal Bansal, Abhinav Goel and Harshita Singh

Value investing sounds simple. Buy what's cheap, wait and prosper. But in practice, it's a minefield. Plenty of low P/E stocks lure investors in only to go nowhere. The numbers look inviting, the price seems right, but the business is broken and you end up with a value trap instead. That doesn't mean cheap stocks should be avoided. Far from it. History shows that low valuation, when paired with the right traits, can beat the market and beat it soundly. The trick lies in knowing which cheap stocks are truly mispriced and which are priced perfectly for mediocrity.

This is the art John Neff perfected. The fund manager, who steered the Windsor Fund to market-beating returns for over three decades, didn't just buy low—he bought low with reason. He sought companies whose modest valuations belied solid earnings potential and the promise of a market rerating. The result was a handsome 13.7 per cent annual return from 1964 to 1995, handily outpacing the S&P 500's 10.6 per cent.

In this story, we borrow from Neff's playbook. We first build the case for low P/E investing using historical performance. Then, we explore its limitations and show how Neff's lens, applied with rigour, can help filter the winners from the also-rans. At the end awaits a list of such stocks, filtered through his philosophy and refined by ours.

Cheap and cheerful

There's a reason seasoned investors keep returning to low P/E stocks: they've historically delivered better long-term returns than their high-flying counterparts.

Look at Figure 1. Companies with starting P/Es below 40 have consistently outperformed their more expensive peers in every five-year period from 2014 to 2024. The pattern holds across valuation thresholds. Whether you set the bar at a P/E of 10, 30, or even 50, the story remains the same: companies that traded below these levels outperformed those trading above them.

Not just that. The average outperformance—or alpha—rises steadily with the P/E level. Stocks below a P/E of 10 beat those above this level by 4.7 per cent for the tested period, but the outperformance widens to nearly 11 per cent between those below and above 50x P/E (see Figure 2). The higher the valuation, the stronger the case for betting against it.

And it's not just about upside. Lower P/E stocks also tend to fall less during downturns. Barring the Covid crash in 2020, they've generally been more resilient in corrections, offering both a performance edge and a margin of safety.

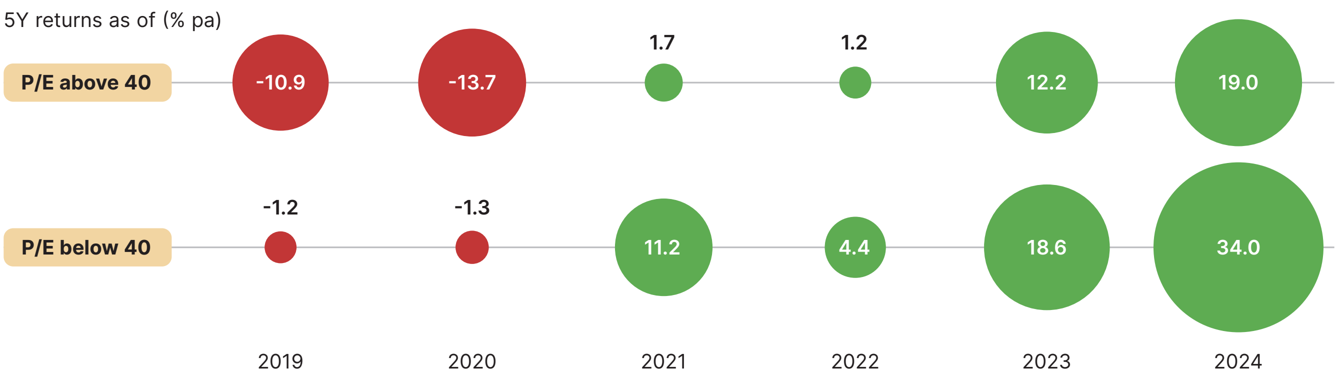
So, does that mean you should just buy the cheapest stocks and wait for the market to catch on? Not quite.

There's a catch

The above exercise shows solid average outperformance of low P/E stocks. But averages can be deceptive. In this case, they are skewed by a handful of standout winners. For instance, nearly 74 per cent of stocks that traded below 40x in 2014 went on to deliver subpar annual returns of below 10 per cent over the next five years. Overall, over half of these stocks posted such dull returns in four out of six five-year periods that we tested (see Figure 3).

Figure 1

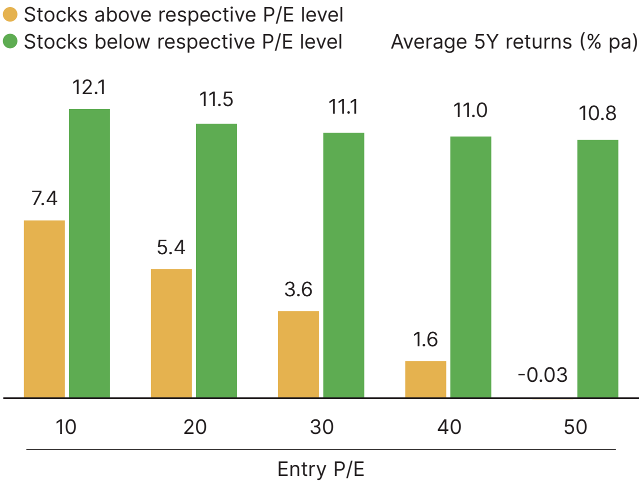
Valuation underdogs outrun the pack



Returns are based on five-year rolling periods ending each calendar year. For example, stocks that traded below 40x in 2014 fell 1.2 per cent per annum, on average, from 2014 to 2019.

Figure 2

Discounted and delivering

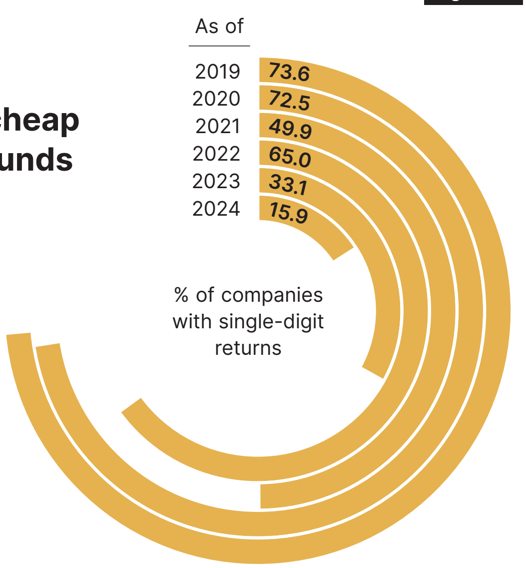


Data shows five-year rolling annualised returns of stocks trading below vs above each P/E level (10 to 50) across the 2014–2024 period.

What this means is that the outperformance came from a few outliers pulling up the average, while the rest delivered mediocre outcomes. The goal, thus, is to spot these few standouts. And for that, a low P/E alone doesn't cut it. It needs context. It needs filters. It needs growth. This is where John Neff's framework comes in: to pick actual low-priced compounders from the bargain bin.

Figure 3

Not all that's cheap compounds



Data reflects the percentage of stocks trading below a P/E of 40 at the start of each five-year window that went on to deliver single-digit returns per annum over the next five years.

Neff's doctrine: Stocks that are cheap, growing and going places

Neff's genius lay in spotting stocks that were not just undervalued but underappreciated for the growth they held. He looked for 'cheap' stocks that had real earnings potential and, crucially, hadn't yet been recognised by the market—giving way for P/E expansion.

Simply put, his idea was to find low-P/E companies that the market could rerate upward as growth played out. Why was re-rating, besides growth, so crucial? Our example, shown in Figure 4, illustrates this clearly. Two companies, same five-year EPS growth (15 per cent), but different entry valuations. Company A, bought at a P/E of 15 and exited at an expanded multiple of 25, delivers an annual return of 27.4 per cent. Company B, bought and sold at a P/E of 50 (no multiple expansion), returns just 15 per cent. The lesson? Growth matched with multiple expansion can turbocharge returns.

Data agrees with Neff

According to him, the lower the starting valuation, the greater the room for expansion. Our analysis backs his view. In all five-year periods from 2014 to 2024, stocks with entry P/Es below 40 consistently enjoyed stronger P/E expansion (or milder compression) than their expensive counterparts. From 2019 to 2024, their median multiple rose 162 per cent. For the high P/E group, it shrank by 27 per cent (see Figure 5). In essence, low valuation allows breathing room—both for the business to grow and the market to notice. And it's the twin engine of earnings growth and P/E re-rating that delivers outsized returns.

Growth is a necessary companion

Remember that low-value investing by itself is no magic bullet. For P/E expansion to kick in, growth must follow. A low valuation means little if the business lacks a future. That's why it is critical to look beyond numbers to context and business fundamentals. Look for industries with tailwinds, companies with execution ability and markets ripe for formalisation. These are the settings where growth is more likely to materialise, giving re-rating a real chance.

The flip side of frugality

It's easy to be tempted by past data. Low P/E stocks outperform, rerate more often and fall less in rough markets. But before rushing to scoop up every 'cheap' stock in sight, remember that like all investment

Figure 4

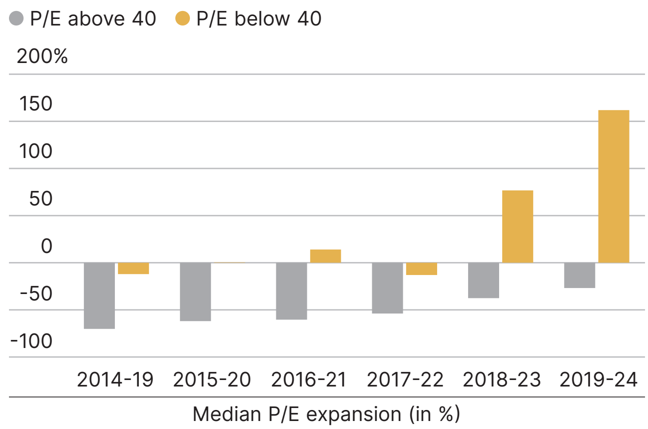
How multiples move outcomes

Company A		Company B
15	Entry P/E	50
100	Current EPS (₹)	100
1,500	Current price (₹)	5,000
15%	Projected EPS growth	15%
201	Future EPS (₹)	201
25	Exit P/E	50
5,028	Future price (₹)	10,057
27.4	Return (% pa)	15.0

Per annum EPS growth and resulting returns estimated for five years

Figure 5

How low P/E leaves room to run



Median P/E expansion measured for stocks trading below and above a P/E of 40 over five-year rolling periods from 2014 to 2024.

strategies, this one has its blind spots.

One is that by sticking to only low P/E names, you risk missing early-stage winners in new-age sectors that may be expensive today but could justify it over time. And the most dangerous trap is forgetting some companies deserve their low valuations. Weak moats, poor capital allocation, governance concerns—these are reasons stocks trade cheap. And they usually stay that way.

In short, low P/E investing isn't a blind bet. The strategy works, but only when used with patience, selectivity, deep research and an awareness of its limits.

Our methodology

We screened for companies that matched Neff's philosophy—low on valuation but with enough fuel to grow and get re-rated. Here's how we filtered the market:

- Excluded micro caps since smaller companies often lack transparency needed for reliable analysis.
- Excluded BFSI companies since P/E is not a meaningful metric for banks and financial firms.
- Captured growth by requiring at least 10 per cent annual growth in both revenue and profit after tax over the last five years.
- Captured enduring capital efficiency by requiring a ROE of at least 15 per cent in three out of the past five years.
- Ensured earnings are backed by actual cash flow by applying a CFO to EBITDA ratio above 60 per cent.
- Applied Valuation and Quality Scores of 6 and above (part of our Stock Ratings) for a holistic assessment. The two scores capture multiple metrics for both valuation and business quality.

This narrowed the list to 35 stocks. We then layered in qualitative research—management intent, industry potential, capital allocation history, business quality—and arrived at a final list of 10 companies. But remember not to construe these stocks as our recommendations. We have only narrowed the vast investable universe to a manageable level and these stocks are starting points for investors who want to apply Neff's thinking in today's markets.

STYLAM INDUSTRIES

Gloss, grit and global growth

Stylam Industries is a leading manufacturer of laminates and allied surface solutions, catering to both domestic and international markets. It makes nearly 70 per cent of revenue from exports, primarily through premium surface solutions for interiors and exteriors.

What makes Stylam a candidate for potential re-rating is its continued push toward margin-accretive premium products and its steady execution on capacity expansion. Stylam is investing in enhancing capacity, with a focus on doubling the production of exterior cladding panels. Notably, these high-pressure exterior panels enjoy better margins and growing global demand, particularly in Europe and the Middle East. Further, Stylam has introduced a high-gloss product line, aimed at the design-oriented segment, which could help expand its addressable market. Another key differentiator is Stylam's backward integration across resins, press plates and other inputs, which helps control costs and preserve margins. In addition, the company has been able to pass on the increase in paper prices, reflecting its strong pricing power in premium categories.

That said, risks persist. Any slowdown in global construction or real estate could affect demand, especially in exports. Also, working capital needs have increased recently and management acknowledged some delay in payments from certain markets, though they remain confident of recovery. However, with its tight cost control, strong focus on value-added offerings, and investment in capacity ahead of demand, Stylam appears to be playing the long game. Given its consistent profitability, growing premium product mix and undemanding valuation, Stylam could attract greater investor attention if it executes well on its expansion and sustains margin gains.

★★★★
Stock Rating

22.4
Current P/E

32.8
5Y PAT growth (% pa)

23.8
5Y average ROE (%)

STEEL STRIPS WHEELS

Reinventing the wheel

Steel Strips Wheels, a key wheel supplier to automotive OEMs in India and abroad, is undergoing a quiet transformation that makes it a strong re-rating candidate. While it has long dominated the steel wheel space, the real shift is its rising focus on premium, high-margin alloy wheels.

This segment contributed 32 per cent of the company's FY25 revenue, up from 19 per cent four years ago. With capacity being scaled up to 4.2 million wheels, and plans underway to expand to 5.3 million, the company is positioning itself to ride the structural shift toward alloy adoption in both passenger vehicles and electric two-wheelers.

While the market for steel wheel is expected to grow at a modest 4 per cent, the alloy wheel market has the potential to clock in 12 per cent annual growth for the next five years (as per the company's investor presentation). Profitability is steadily improving, with EBITDA per wheel rising to ₹261 in FY25, its highest ever. The company has also reduced its net debt by ₹193 crore in the past year, supported by tight working capital controls.

Importantly, Steel Strips is also entering new territory with aluminium knuckles—a critical suspension component for EVs and premium cars. Going forward, over the next two years, the company plans to spend ₹600 crore on alloy and knuckles. These segments could open up a significant growth runway in coming years.

While near-term challenges like OEM destocking and customer concentration exist, the larger story is intact. As the company moves up the value chain, adds new capabilities and improves its financial profile, it holds the potential for a re-rating.

★★★★
Stock Rating

20.3
Current P/E

52.8
5Y PAT growth (% pa)

23.7
5Y average ROE (%)

CONTROL PRINT

Moving beyond barcodes

Control Print makes machines and consumables that print expiry dates, batch numbers and barcodes on products—an essential function across industries like FMCG, pharma, agri-inputs and packaging. Over the years, it has shifted from just selling machines to building a steady, recurring revenue model.

Today, nearly more than 60 per cent of its income comes from consumables and servicing, which makes the business more stable and profitable. In FY25, the company delivered solid growth with an 18 per cent rise in revenue, while maintaining gross margins above 50 per cent. But what really strengthens its case for a re-rating is the way it is expanding into related areas. One such move is into V-shape pouch packaging machines—used for packing everyday items like tea, snacks, seeds, and agri-products in small sealed pouches. It's a natural extension of what Control Print already does and allows it to offer more value to existing customers with few Indian competitors. Another promising area is its track and trace solutions—a mix of printing and software tools that help companies monitor where their products go, from factory to retailer. These are especially useful in pharma and agri-chemicals, where such tracking is mandatory. Financially, the company is in a strong position with zero debt and steady free cash flows. Its client base includes well-known FMCG and pharma brands like HUL, ITC, Cipla and Glenmark, and exports are being gradually scaled up.

But risks include execution challenges in scaling up these new segments and the company's exposure to industrial capex cycles—if customers delay investments, order inflows could suffer. Also, margins could get hit if contribution from printer sales increases. Still, by moving up the value chain, Control Print is becoming a richer, more relevant business and the market may soon take notice.

★★★★★	Stock Rating
13.4	Current P/E
27.8	5Y PAT growth (% pa)
19.4	5Y average ROE (%)

ROUTE MOBILE

Dialling for re-rating

Route Mobile, a cloud communications platform as a service (CPaaS) company, helps businesses communicate with their customers across SMS, WhatsApp, voice, email and more. So, if you receive an OTP from your bank or an order update from a delivery app, Route might be powering that behind the scenes.

While it started off as a global SMS delivery platform, this core business is highly competitive and volume-driven, with thin margins—especially outside India. Over the years, as Route expanded into lower-margin geographies like Africa and Latin America, its overall profit margins declined despite revenue growth. Even in FY25, when it delivered 14 per cent revenue growth, margins remained below historical highs.

However, the company is now in transition. It's trying to reduce its =dependence on SMS and build higher-margin, platform-led services. These include Trubloq, a regulatory compliance tool that filters spam messages in India; Voice Firewall, which helps telcos prevent fraud; and AI-based customer engagement platforms. These solutions are not only more profitable but also create sticky, long-term client relationships. Route is also working on bundling multiple services—offering not just message delivery but security, analytics and automation on a single platform to deepen enterprise penetration.

The risk lies in how long this pivot takes to materialise. The company still earns the bulk of its money from commoditised messaging and remains exposed to price wars and currency fluctuations in emerging markets. But if it can reposition itself as a full-stack communications platform, the stock may finally break out of its rut and earn a valuation that reflects its broader ambitions.

★★★	Stock Rating
20.0	Current P/E
37.0	5Y PAT growth (% pa)
19.4	5Y average ROE (%)

NATCO PHARMA

Beyond the Revlimid rush

Natco Pharma is a Hyderabad-based pharmaceutical company specialising in complex generics for oncology, cardiology and CNS therapies. Export formulations made up nearly 79 per cent of its FY25 top line. This is dominated by gRevlimid, a generic of blockbuster cancer drug Revlimid. This single product has been a major growth driver in recent years, but also a valuation overhang as its sales are now expected to taper as more competitors enter the US market following Natco's initial exclusivity window. That overhang, however, may finally ease as the revenue base diversifies.

To reduce dependence on gRevlimid, Natco is accelerating product launches in both the US and emerging markets. It has launched several complex molecules with fewer competitors, including products in injectables and specialty oral categories. This shift is not only expanding the breadth of its portfolio but also helping protect margins even as the Revlimid tailwind normalises. At home, its domestic formulation business—though a small share—is focused on niche therapies like oncology and transplant care where brand stickiness is high.

Meanwhile, Natco is restructuring its agrochemical vertical by exiting low-margin generics and prioritising differentiated molecules and partnerships for export markets. The nascent division could scale meaningfully with regulatory approvals in place. The company's sharp product selection, prudent capital allocation and strong pipeline make it a standout in the mid-cap pharma space. If the non-Revlimid engine sustains momentum over the next few years and crop sciences contribute meaningfully, the stock—still trading at modest earning multiples—could witness a re-rating.

★★★★
Stock Rating

8.8
Current P/E

32.5
5Y PAT growth (% pa)

17.0
5Y average ROE (%)

EIH ASSOCIATED HOTELS

Luxury with room to grow

EIH Associated Hotels, a key subsidiary of the Oberoi Group, operates luxury and premium properties under the Oberoi and Trident brands. With presence in four heritage and business destinations—Udaipur, Jaipur, Agra, and Chennai, the company caters to an affluent clientele seeking high-end hospitality.

The company's biggest strength lies in the strong brand equity of the Oberoi Group, consistently ranked among the world's top hotel brands. This allows EIH Associated Hotels to command premium pricing and high occupancy in a competitive market. Post-Covid, India's luxury travel segment has rebounded sharply, led by domestic tourism, weddings and corporate events—a trend that benefits EIH. Operationally, the company maintains strong margins and cost discipline. It owns its hotel assets, giving it full control over its properties and revenue streams, while outsourcing operations to the flagship group company EIH, under established Oberoi and Trident brands.

Despite trading at a P/E of around 25 times, the company is still valued below peers like Indian Hotels (65x) and Chalet Hotels (134x). With rising room rates and improving demand visibility in the luxury segment, there is scope for further re-rating if earnings momentum continues.

However, the company's relatively small size and limited geographical footprint pose scalability concerns. It remains exposed to cyclical risks such as economic slowdowns, geopolitical events and travel restrictions. Its heavy dependence on a few destinations can also be a double-edged sword in times of regional instability or seasonal dips. Competition is intensifying too, with boutique hotels and new-age platforms targeting the luxury traveller. These factors warrant some caution.

★★★★
Stock Rating

24.8
Current P/E

20.1
5Y PAT growth (% pa)

10.2
5Y average ROE (%)

GPT HEALTHCARE

Healthy margins with local roots

GPT Healthcare is a Kolkata-based hospital chain operating under the 'ILS Hospitals' brand. With a cluster of mid-sized, multispeciality hospitals across Eastern India, it focuses on affordable tertiary care for underserved urban and semi-urban populations.

The company's strength lies in its deep regional presence and efficient operational model. It runs four hospitals with over 550 beds, mostly concentrated in West Bengal and Tripura, where healthcare infrastructure is still developing. GPT benefits from strong local brand recall and a doctor-led culture that has ensured high occupancy and repeat patient flow. Its focus on non-metro locations allows it to maintain competitive pricing while still achieving robust EBITDA margins through tight cost controls and process efficiency. Unlike many peers chasing capital-intensive expansion, GPT has maintained capital discipline, growing steadily while delivering healthy returns on capital. The company's asset ownership model provides long-term stability and control over its hospitals.

Valuation-wise, the company trades at a reasonable P/E of around 27x, which is lower than listed peers like Krishna Institute (74x) and Rainbow Children's (65x). With rising healthcare awareness, insurance penetration and formalisation of spending in tier-2 and 3 towns, GPT's regional model may find broader investor appeal, driving valuation re-rating.

However, the company remains geographically concentrated, which creates vulnerability to regional disruptions. Its relatively small scale and limited speciality offerings may restrict pricing power and bargaining leverage with suppliers and insurers. Additionally, scaling beyond Eastern India may be challenging given its hyperlocal model.

★★★★★	Stock Rating
23.2	Current P/E
35.4	5Y PAT growth (% pa)
25.4	5Y average ROE (%)

ROLEX RINGS

Machining momentum

Rolex Rings is one of India's leading manufacturers of forged and machined components for automotive and industrial applications. Based in Rajkot, Gujarat, the company is a key supplier to both domestic and global OEMs and tier-1 auto component suppliers.

Rolex Rings' strength lies in its technical expertise, precision engineering capabilities and well-integrated manufacturing infrastructure. It offers a diversified product range including bearing rings, transmission parts and differential components used in passenger vehicles, commercial vehicles, electric vehicles and industrial equipment. With a strong export orientation, the company derives over 50 per cent of its revenue from international markets, tapping into long-standing relationships with marquee clients across Europe, the US and Asia.

Operationally, it runs with healthy EBITDA margins and a focus on asset efficiency, aided by a robust forging and machining capacity across three plants. Furthermore, the company is actively exploring opportunities in the EV and renewable segments, which could unlock new growth avenues.

Currently trading at a P/E of around 22x, Rolex Rings is valued at a discount to other precision component makers like Sona BLW (48x) and Sundram Fasteners (40x). As exports recover and EV-related orders ramp up, valuation multiples could expand if growth visibility improves and margin profiles hold.

That said, Rolex Rings is exposed to the cyclicality of the auto industry. A slowdown in vehicle production, particularly in Europe or the US, could affect export volumes.

Additionally, any delay in EV ramp-up or raw material price volatility could also compress margins and strain profitability.

★★★★	Stock Rating
24.7	Current P/E
28.7	5Y PAT growth (% pa)
24.9	5Y average ROE (%)

MASTEK

Niche tech and global ambitions

Mastek is a mid-cap IT services company specialising in digital engineering and cloud transformation solutions. With a strong presence in the UK, US and India, the company serves clients across government, healthcare, retail and financial services sectors.

Mastek's strength lies in its focused capabilities around digital transformation, cloud-native development and enterprise application integration, particularly within Oracle Cloud ecosystems. The company has built a strong client base in the UK, including multiple government departments known for long-duration, sticky contracts and minimal pricing volatility. Mastek's acquisition of Evosys expanded its cloud consulting footprint, giving it access to high-margin, IP-led services and a global delivery model. The company has consistently delivered double-digit margins and boasts a robust order book, indicating strong deal momentum despite global macro uncertainties. Its smaller size allows agility in delivery and quicker client onboarding compared to larger peers. With increasing demand for digital transformation in public and healthcare sectors, Mastek is well-positioned to grow in niche verticals that remain underpenetrated. If the company sustains margin improvement and accelerates US client mining, a valuation re-rating may follow, especially given its high ROCE and low attrition.

However, growth is sensitive to global IT spending, especially in the UK and US public sectors. Client concentration remains a concern and currency volatility and integration risks from past acquisitions could weigh on near-term profitability. As a mid-sized player, Mastek may also find it harder to compete with tier-1 firms for large enterprise deals, limiting the pace of scale-up in newer geographies.

★★★★
Stock Rating

20.1
Current P/E

24.1
5Y PAT growth (% pa)

24.6
5Y average ROE (%)

MAN INFRACONSTRUCTION

From concrete to cash flow

Man Infraconstruction is a Mumbai-based construction and real estate company with a dual focus on EPC contracting and high-margin residential and commercial real estate development, largely in Mumbai's micro-markets.

The company's strength lies in its transition from a pure-play EPC contractor to a hybrid model that includes asset ownership and development. Man Infra has a long-standing track record of executing complex marine infrastructure, ports and urban civil projects. However, the real shift has come from its foray into real estate development, where it has built a strong brand in Mumbai's eastern suburbs and central zones.

These projects enjoy superior margins compared to EPC work and have contributed significantly to earnings growth in recent years. With a debt-free balance sheet and significant cash flows from completed projects, it is now focused on unlocking value from its strategic land bank. Its conservative approach to land acquisition, preferring joint development agreements over outright purchases, helps mitigate capital risk. The company has also benefited from rising demand in Mumbai's redevelopment and luxury housing segments. With robust demand drivers and monetisation of key projects ahead, the stock may have further potential for re-rating.

However, the company's fortunes are closely tied to the cyclical and regulatory nature of the real estate sector, especially in Mumbai. Delays in project approvals, policy changes or a sharp slowdown in homebuyer sentiment could impact launches and cash flow visibility. Its EPC business also faces margin pressure from rising input costs and intense competition, which could dilute overall profitability if not managed tightly. ☑

★★★★
Stock Rating

24.9
Current P/E

110.9
5Y PAT growth (% pa)

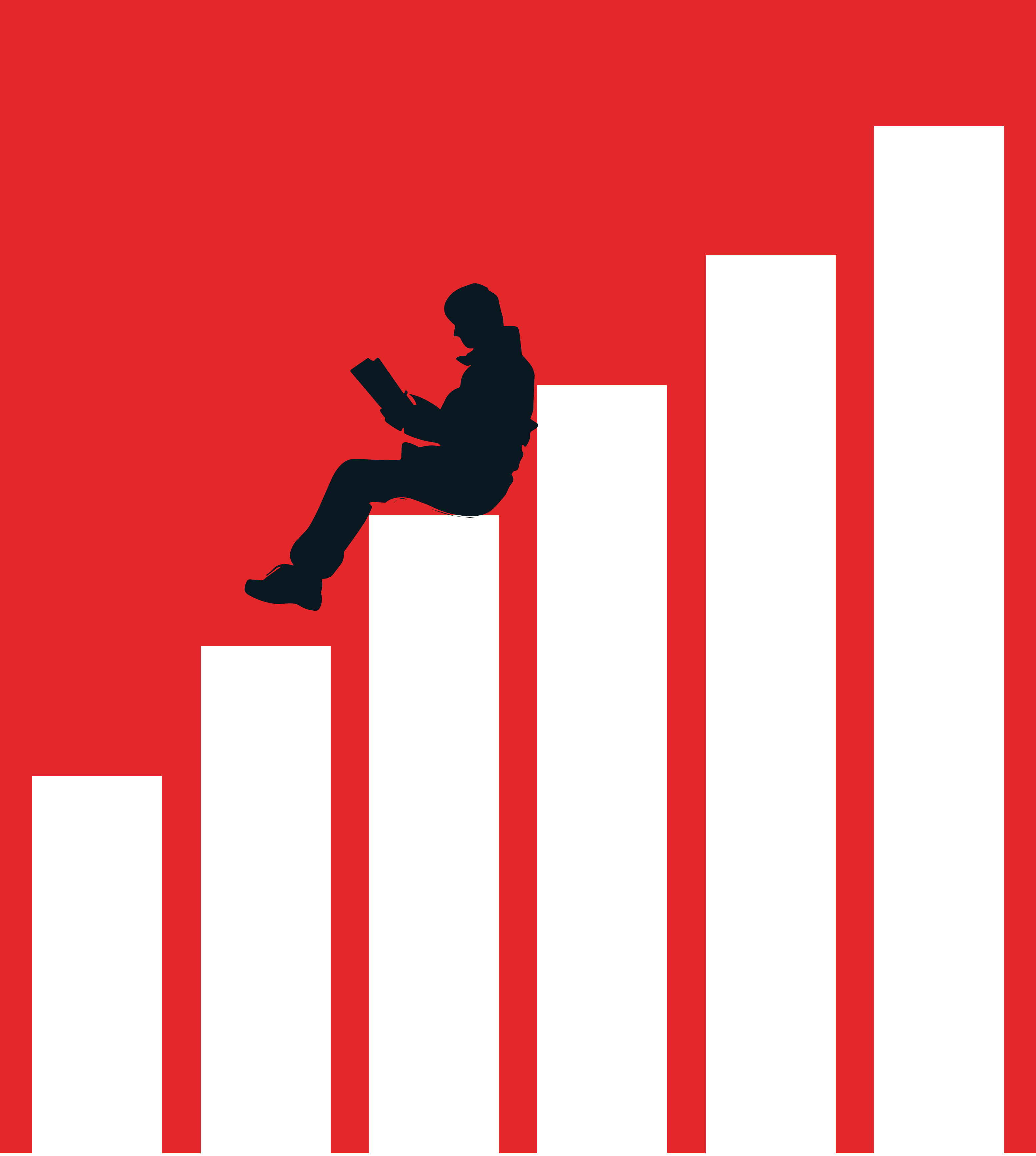
23.9
5Y average ROE (%)

Stay the course

Markets rise and fall, but disciplined, low-cost investors stay calm

Value Research

THE INDEX INVESTOR



Scan here

What if your ₹1 lakh F&O losses went into ETFs?

Even a plain-vanilla ETF does better against market gambling

In a sobering reality check, a SEBI report recently revealed that 91 per cent of individual traders in equity derivatives lost money in FY25. The average loss? A staggering ₹1.1 lakh per trader. Just 9 per cent managed to eke out a profit.

This statistic reveals a harsh truth: the vast majority of retail traders are not making money from the market. And yet, the allure of fast profits from options, futures and intraday trades continues to seduce lakhs of investors. What few realise is that success in the market doesn't come from trying to outsmart it every day. It comes from choosing a strategy that works with time and patience.

What if that ₹1 lakh was invested in a boring ETF?

Had you invested that ₹1 lakh, lost to derivatives, in a simple Nifty 50 ETF, you'd have had an 85 per cent chance of making a profit within a year. Compare that with dabbling in F&O trades, where only one in 10 people manage to walk away with gains.

The data is clear. Even being conservative and sticking to India's largest, most stable companies makes it far more likely to earn profits than chasing short-term trades, where most lose money. And that's just the short term.

It is always ideal to invest with a long horizon of at least three to five years. That ₹1 lakh in a Nifty 50 ETF five years ago would have nearly tripled to ₹2.7 lakh today—thanks to a 20.1 per cent annual return, partly from the post-Covid rebound. But even if you remove the once-in-a-generation Covid bump, a large-cap ETF still typically delivers around 12–14 per cent annually.

Staying invested for the long term further increases your odds against losses. As our rolling return analysis for the last decade shows, an investor who had stayed invested in the Nifty 50 for five years would have almost never lost money. Therefore, just sticking to the market benchmark and giving it time offers far more chances of making gains.

And when it comes to large caps, passive investing often outperforms the active route over time because most fund managers struggle to consistently beat their benchmarks.

Nifty 50 stands the test of time

Longer horizon, better odds

Time period	1 year	3 years	5 years
% of times returns were positive	85	99	100
Worst return (%)	-33	-5	-1
Best return (%)	96	32	26
Average return (%)	14	13	13

Nifty 50 TRI returns are calculated on a daily rolling basis over the last 10 years

So, when long-term investing in the index compounds your money reliably without complexity, the next question is: what's the best way to do it?

ETFs offer a clean, efficient answer.

Why choose ETFs for index investing?

Low cost: The average expense ratio for large-cap ETFs is just 0.16 per cent, far lower than the 0.85 per cent charged by active large-cap mutual funds.

No fund manager risk: ETFs follow a rule-based, passive structure, removing human discretion, biases and the risk of underperformance from active calls.

Easy diversification: A single ETF gives you exposure to dozens of top companies, automatically spreading your risk.

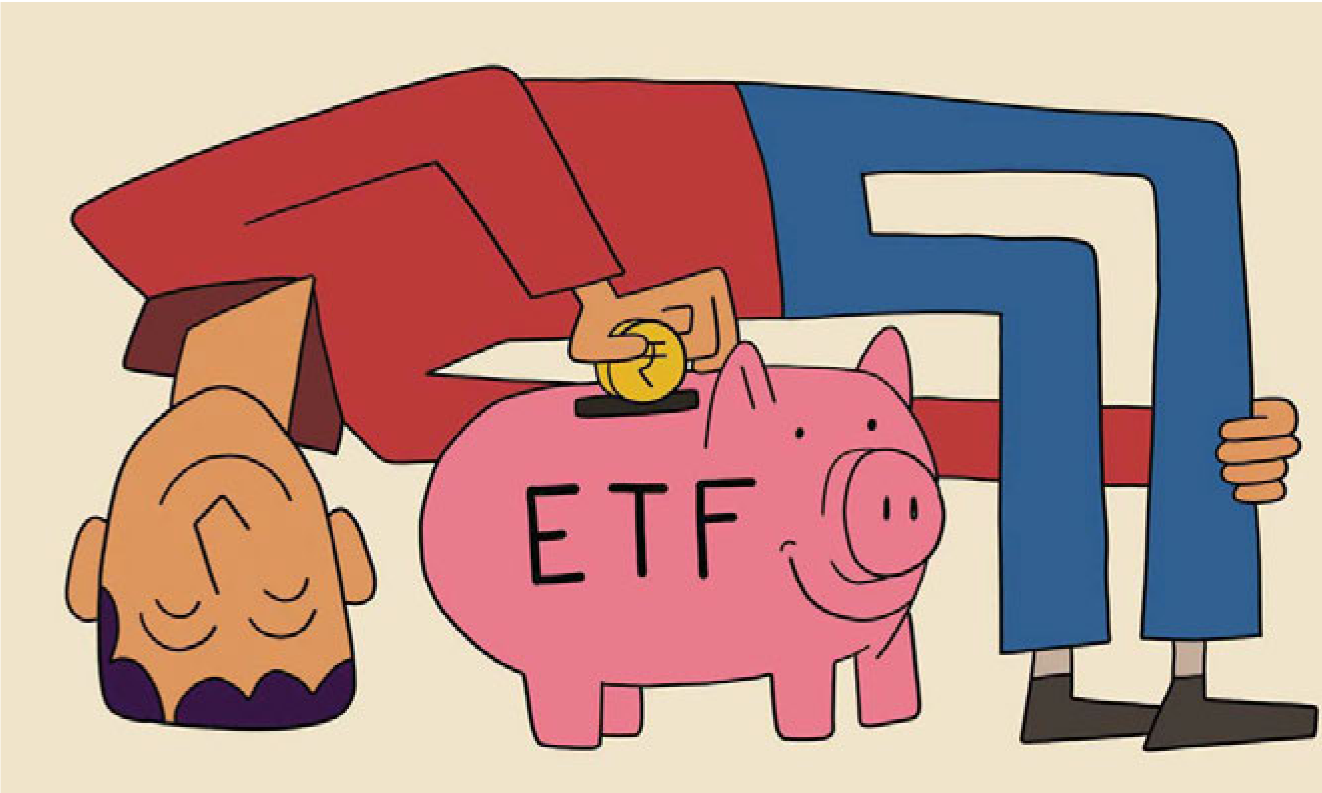
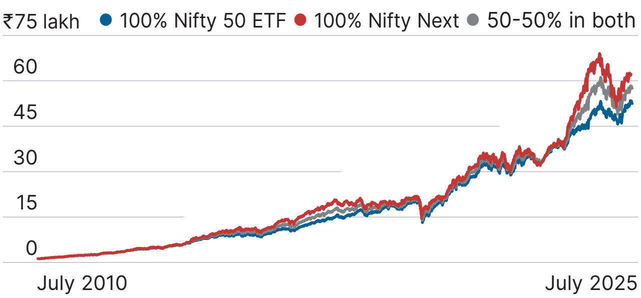


Illustration: ANAND

₹10k in Nifty Next 50 each month would've earned you the biggest corpus



Calculations are based on the oldest available ETFs tracking these indices: Nippon India ETF Nifty 50 BeES and Nippon India ETF Nifty Next 50 Junior BeES.

Suitable for traders: If you are a demat account holder and know how to trade a stock, you already know how to buy an ETF, avoiding complexity or cost drag.

A simple ETF portfolio that works

How would a long-term investment strategy in ETFs fare? Let's say you invested ₹10,000 monthly over the past 15 years in:

1. Only a Nifty 50 ETF
2. A Nifty 50 and a Nifty Next 50 ETF split equally
3. Only a Nifty Next 50 ETF

The Nifty Next 50 ETF would have built the largest corpus, thanks to its higher historical returns—14.6 per cent average five-year rolling return vs 12.9 per cent for the Nifty 50 in the last 10 years.

But note that the Nifty Next 50, which offers exposure to emerging large caps, also tends to be more volatile. For instance, in the latest correction, it fell 24.6 per cent versus the Nifty 50's 15.4 per cent drop. In three of the five major market declines over the last 15 years, the Nifty Next 50 also fell an average of 2.8 percentage points more than the Nifty 50.

That's why investors can tailor their ETF mix based on their risk appetite. Want stability? Stick with the Nifty 50. Want a little extra growth? Add some exposure to Nifty Next 50. Either way, you're still ahead of the trader chasing short-term highs and long-term regrets.

Skip the noise. Stay the course. Let it work.

ETFs aren't flashy. They don't promise overnight riches. But over time, they quietly outperform most investors trying to outguess the market. So if you're serious about building wealth, stop chasing trades and start holding what matters. Because the most profitable call isn't deciding when and how to trade. It's knowing when to stop.

Busting the earnings myth

Why earnings growth doesn't guarantee stock market success

By
Ashish Menon

"In the long run, it's earnings, not charisma, that counts", Warren Buffett once said. For decades, investors have taken this to heart, assuming that strong earnings growth is the surest path to strong stock returns. We used a simple premise to test this belief: if a company's earnings growth matches or exceeds the market return, its stock should logically beat the market, too. So, does this hold true? Only partially.

We analysed the earnings and stock price performance of the top 500 companies by market cap over the last 25 years. We assessed the data for both short and long durations.

The one-year test: A coin toss

- Over any given year, 48 per cent of companies on average delivered earnings growth that equalled or outpaced the market's return.
- But only half of these stocks managed to beat the market.

That's right. Even if a company grew its earnings as fast as or faster than the market, it had only a 50:50 chance of beating the market in a year. The outcome, statistically speaking, is no better than a coin toss.

Why? Because short-term returns are frequently driven not by what a company earns, but by how its earnings are perceived, discounted, or doubted. Valuations matter. So does momentum, liquidity, and at times, plain old hype.

Do odds improve in the long run? Somewhat

We assumed that over longer holding periods, fundamentals would assert themselves more clearly. So we extended our analysis to five-and-10-year rolling periods. Here's what we found:

- 60 per cent of companies, on average, with market-matching earnings actually beat the market in any five-year period.
- For any 10-year period, the number rose to 75 per cent.

That's better. But let's pause and think: if you're betting on a company with solid earnings for 10 years, you'd expect near-certainty in beating the market. Yet, the odds only improve from 50 to 75 per cent. What this means is that earnings help, but they don't

When earnings aren't enough to beat the market

Analysis done on a rolling basis for the last 25 years using the average financial year-end earnings and stock returns of top 500 companies. Earnings support means earnings growth equal to or exceeding the broad market return.

guarantee upside.

The gap between growth and returns persists because earnings are only one part of the investing equation. What you pay for those earnings—i.e., valuation—matters just as much. So does capital allocation, management quality and the broader macro or sectoral context.

A company can compound profits year after year, yet fail to excite the market if growth was already priced in, or if it came with poor capital discipline. Another firm might deliver modest profits but spark a re-rating based on future expectations or cleaner books.

The lesson is simple: Good numbers aren't enough. What the market makes of them matters just as much.

Earnings still matter, especially in tough times

If earnings can't always deliver outperformance, are they still worth watching? Yes. While earnings don't guarantee market-beating gains, they still serve as a cushion during rough patches. When markets go through stress or correction, companies with strong earnings tend to hold their ground far better than those running on hope, hype or inflated valuations.

To test this, we looked at two contrasting five-year periods—each defined by its own market mood.

2015–2020

- Only 31 per cent of top 500 companies, on average, beat the market—a reflection of the tough macro situation amplified by the Covid pandemic.
- But of these winners, a massive 88 per cent did so on the back of earnings, meaning their earnings growth was the same as or above market returns.

In other words, when the market was in no mood for stories and had a low risk appetite, it rewarded substance. Solid earnings became the anchor. Now consider the opposite scenario.

2020–2025

- 62 per cent of companies, on average, beat the market, aided by the bull run fuelled by liquidity and risk-taking.
- But just 36 per cent of these actually did it on the back of market return-matching earnings.

When speculation is high and cheap money chases stories, fundamentals fade into the background. Valuation discipline breaks down. The link between what a company earns and how its stock behaves weakens dramatically.

Illustration: ANAND

So what emerges is a powerful insight: Earnings provide a cushion in downturns but no guarantee of beating the market in euphoria.

Stock Advisor solves this asymmetry

The numbers tell a clear story. Earnings growth is a necessary ingredient but not a sufficient one for superior stock returns. As an investor, you need to look beyond earnings reports and profit and loss statements. You need to understand valuation, capital efficiency, industry dynamics, cash flows, and above all, the quality of management's decisions.

At **Value Research Stock Advisor**, this is exactly what we focus on. We don't stop at earnings. We go beyond the surface, weighing every piece of the puzzle before backing a stock. Sometimes that means passing up on earnings-rich companies that may lack fair pricing. Sometimes it means backing overlooked firms whose true strength lies beyond headline numbers. Because for us, it's never about just earnings. It's about finding the few businesses where everything adds up. ☑

Ashish Menon is a Chartered Accountant (CA) and a Senior Equity Analyst in our Value Research Stock Advisor service.

Beyond stock tips

Why the difference between recommendations and real guidance can make or break your financial future

By **Dhirendra Kumar**

Last week, I came across a rather exasperated post on X (Twitter) that perfectly encapsulates a fundamental misunderstanding about investment services. "I've been following stock tips from three different sources for two years," the investor wrote. "Some recommendations do well, others don't. But I'm more confused than ever about what to buy, when to sell, and how much to invest. Isn't there supposed to be some system to all this?"

His frustration struck me because it highlights the vast difference between what most investment services offer—essentially glorified stock tips—and what investors actually need: comprehensive, ongoing guidance that transforms random recommendations into a coherent wealth-creation strategy.

The distinction matters a lot, yet it's rarely discussed in the investment world. Most services operate on what I call the "tip model": they identify stocks they believe will perform well, announce these picks with great fanfare, and then largely disappear until the next recommendation is made. This approach treats investing like a series of independent bets rather than a systematic process of building long-term wealth.

The problem with this model becomes apparent quickly. You receive recommendations for 20 or 30 different stocks over time. Still, nobody tells you how many shares to buy of each, whether they should constitute equal portions of your portfolio, or when circumstances might warrant selling. You're left to cobble together these disparate suggestions into something resembling a portfolio, often with disastrous results.

I've seen investors hold onto poor-performing recommendations for years simply because they were never told when to exit. Others concentrate too heavily on single stocks because they found certain recommendations particularly compelling. Others abandon good companies during temporary setbacks because they lack the context to understand that such volatility is normal.

This is precisely why we fundamentally restructured **Value Research Stock Advisor**. Rather than adding to the cacophony of individual stock recommendations, we recognised that what investors truly need is professional portfolio management—the same comprehensive approach that wealthy individuals receive from private wealth managers, but accessible to everyone.

Real investment guidance begins with understanding that successful investing isn't about finding the perfect stock; it's about constructing portfolios that can weather various market conditions while generating long-term returns. This requires understanding how different companies complement each other, determining the appropriate level of risk for your circumstances, and maintaining discipline during inevitable periods of market volatility.

Consider how our approach differs from traditional stock-tip services. When we recommend companies in our Long-term Growth Portfolio, we're not simply saying "buy this stock because we think it will go up." Instead, we're positioning each company within a carefully balanced collection designed to achieve specific objectives: substantial capital appreciation over time through consistent performance and

Successful investing isn't about finding the perfect stock; it's about constructing portfolios that can weather various market conditions while generating long-term returns

sustainable growth.

Each stock selection considers not just the individual company's merits, but how it fits within the broader portfolio context. An excellent company might not be a good investment if we already have sufficient exposure to its sector. Conversely, a good (but not great) company might be included if it provides important diversification benefits or helps achieve the portfolio's risk-return objectives.

This holistic approach extends to ongoing management. When market conditions change or individual companies encounter challenges, we don't simply issue new recommendations and leave you to sort out the implications. Instead, we actively manage the portfolio, making adjustments and communicating the rationale behind each change.

Recent months have provided an excellent example of this difference in action. As market volatility increased and certain sectors came under pressure, subscribers to tip-based services found themselves wondering which of their various recommendations to hold, which to sell and how these decisions might affect their overall risk exposure.

Stock Advisor members, by contrast, received clear guidance throughout the period. When we determined that certain companies in our portfolios needed adjustment due to changing fundamentals or better opportunities elsewhere, we made those changes and explained our reasoning. Members didn't need to puzzle over portfolio implications or wonder whether their overall strategy remained sound—we handled those complexities professionally.

The three-portfolio structure we've developed—Long-term Growth, Aggressive Growth and Dividend Growth—represents another crucial difference from the tip model. Rather than leaving you to determine which recommendations suit your particular goals and risk tolerance, we've created distinct investment strategies tailored to different investor needs.

Our **Long-term Growth Portfolio** is designed for investors seeking substantial capital appreciation over time through high-quality companies with sustainable competitive advantages. The **Aggressive Growth Portfolio** targets individuals with a higher risk tolerance and longer time horizons who can tolerate greater volatility in exchange for potentially higher returns. Our **Dividend Growth Portfolio** combines capital preservation with regular income generation, ideal for those approaching retirement or seeking income-oriented strategies.

Illustration: ANAND

Each portfolio represents a complete investment solution rather than a collection of individual picks. This systematic approach provides something equally valuable: peace of mind. When you know your investments are managed by professionals who understand portfolio construction, who monitor holdings continuously and who make adjustments based on rigorous analysis rather than market whims, you can focus on your career and family rather than constantly worrying about your investment decisions.

The cost difference is equally remarkable. Traditional portfolio management services charge 1-2 per cent of assets annually, meaning a ₹50 lakh portfolio would incur fees of ₹50,000-₹1,00,000 yearly, and we are not counting the so-called cut for the so-called 'performance'. Our comprehensive service, which includes access to all three portfolios and ongoing professional management, costs just ₹9,990 annually—a fraction of the traditional wealth management fees.

But perhaps the most significant difference lies in the results. While tip-based services might occasionally identify spectacular winners, their lack of a systematic approach often leads to inconsistent outcomes. Professional portfolio management, by contrast, aims for steady, reliable wealth creation through disciplined strategy implementation. In investing, as in most professional services, you get what you pay for. The question is whether you want tips or comprehensive guidance. The difference, quite literally, can determine your financial future. ☑

The tariff bomb that hasn't exploded yet

Global markets remain oddly calm despite rising US tariffs, but exporters and economists warn the real impact may just be delayed

By **Puja Mehra**

How vulnerable are stock market exposures to global economic developments? Wall Street has pretty much shrugged off, at least for now, the threat of Trump tariffs hitting global growth and business. Stock markets around the world had plummeted after April 2, the day US President Donald Trump announced his 'Liberation Day' tariffs on imports into America from a host of countries, including remote islands inhabited only by penguins and seagulls, and therefore unlikely to account for much commercial cross-border trade.

The sweeping tariffs announced plunged stock prices around the world that day. In the US, the stock indices lost more than $3 trillion in value, which was the biggest single-day meltdown since the Covid-19 pandemic financial crash.

Stock markets have recovered since April 9, the day Trump paused most of the April 2 tariffs for a period of 90 days to bring countries to the negotiating table.

This offers limited relief. The basic 10 per cent tariffs on imports into the US from most countries remain. This is much higher than the less than 3 per cent average before April 2. Plus, the White House has announced tariffs as high as 50 per cent on steel, aluminium and automobiles imported into into US from other countries. But the markets have barely stirred, although exporters are demanding subsidies.

'Taco' or 'Trump Always Chickens Out' is the acronym in use on Wall Street to describe investors unperturbed by these developments. Their expectation is that, just as he has in the recent past, President Trump would roll back these tariffs, too.

The US markets in particular don't seem to be viewing the trade negotiations being done by White House as significant policy decisions. They are being seen as diplomatic negotiating tactic.

The trade détente with China announced in May after a brief ratcheting up of tariffs on Chinese imports into the US, followed by retaliatory tariffs by Beijing on American exports to China, seems to have strengthened the view that neither country wants a trade war and that a global economic slowdown has been averted. This confidence may be premature.

If tariffs set to increase on August 1 do rise and no further pauses are announced, the effective tariff rate would exceed 20 per cent, which would be the highest since 1910. Can the markets afford to not care?

Since the tariff hikes already implemented haven't as yet stoked inflation, or slowed GDP growth significantly in the US, the markets seem to be at ease. However, as inventory build-ups begin to decline and US companies start passing on the cost of tariff hikes to US consumers, inflation will start to rise. There could be political implications and economic consequences.

When that happens, the Trump tariff agenda would not seem like a non-event to stock markets. Yes, Trump backs down from big showdowns but tariffs are higher than they were on April 2 and are gradually increasing.

Perhaps, the US administration has figured that creeping tariff hikes don't crash the markets as

As inventory build-ups begin to decline and US companies start passing on the cost of tariff hikes to US consumers, inflation will start to rise

Illustration: ANAND

happened on April 2 and so they have changed their approach.

India navigates a tricky trade equation

India's efforts to challenge the 50 per cent tariffs on steel and other products at the World Trade Organisation (WTO) have been rejected by the US. Exporters in India, as in most countries, are understandably concerned about the heightened uncertainty about the future. President Trump is unpredictable, changes policies often and his style is to offer fait accompli to the trade negotiators from other countries.

The White House has increased the basic tariffs to 10-15 per cent even on imports from those countries with which the US has free trade agreements. meaning that those countries have tariffs at near zero level.

Although the White House has announced the conclusion of trade deal negotiations with three countries, UK, Vietnam and Japan, very little is known about what has actually been agreed between Washington and them. There are no official documents available to go by.

All of this makes it difficult to predict what the Trump trade agenda could do to business. And yet, stock markets have yet to reflect the anxieties of trade negotiators and exporters around the world.

India's economy is less dependent on exports than, say, China's or Vietnam's. There is, thus, a general belief widely held here that the tariffs applied to our exports would be significantly lower than those slapped on imports from other countries to the US, resulting in a tariff arbitrage, a potential source of competitiveness for exports.

Even if the April 2 tariff rates are applied, India (26 per cent tariff) was better off than most competing economies, such as Vietnam, which faced tariff rates of more than 40 per cent.

This confidence also comes from the idea that the White House would like to treat India favourably in its pursuit of a 'China plus one' strategy, whereby Washington would like to see India rise economically as a challenger to China.

But there is always the chance that in return, US negotiators could try to leverage the trade talks with New Delhi to gain deeper and wider market access for their exports, including highly subsidised agriculture products, which could pose a significant risk for the bulk of small farmers in India.

This is probably one reason why it has not been possible for an interim trade deal with India to be concluded as yet. In April, there were many announcements from both sides that the deal with India would be the first to be concluded.

Meanwhile, the base 10 per cent tariffs are being applied to Indian exporters to the US and the 50 per cent tariffs on steel, etc., are also in place. These are hurting Indian exports already. Many of whom are lining up at government offices demanding subsidies to neutralise the impact, along the lines of those offered by South Korea to its automobile industry. ☑

Puja Mehra is a Delhi-based journalist and the author of 'The Lost Decade (2008-18): How the India Growth Story Devolved into Growth Without a Story'

INVESTMENT ACORNS

The cost of chasing certainty

Why staying busy in the markets often leaves you behind

By
Arpit Nayak

In life, we're taught that progress comes from doing more. Work harder, act faster, stay ahead. Effort brings reward. Action drives outcomes. It feels right.

So, we carry that mindset into investing. We tell ourselves that success must come from being proactive, staying sharp, making smart moves, and staying one step ahead. After all, isn't that how progress works everywhere else? Do more, get more. Move faster, win faster. It feels instinctive.

Which is why we so often find ourselves checking the market, checking our portfolio, scrolling through news, scanning charts and figures, studying data — feeling that quiet pull, as if somewhere in all this noise, there's a message meant just for us.

But strangely, outcomes rarely align with this logic. We keep tweaking, adjusting, reacting—yet somehow, we don't get ahead. The harder we try, the more we end up running in place. It feels like progress, but often it's just us going around in circles.

It reminds me of Zeno's Dichotomy Paradox—to reach a destination, you must first cover half the distance, then half again and again. You keep moving forward, adjusting, reacting, convinced you're closing the gap. But somehow, you never really arrive.

In investing, the same loop plays out. Small moves stack up, but the certainty stays out of reach. Half-measures lead to more half-measures. We stay occupied, but not necessarily on track. Real change often feels further away, not closer.

In markets, as in life, the gap between moving and arriving is wider than it seems.

Neurologically, gains light up our brain's reward centres, tempting us to chase more. Losses sting twice as hard — our fear circuits pulling us toward retreat. Behavioural finance calls it loss aversion. Neuroscience calls it the survival instinct.

We believe that what just happened will continue to happen (recency bias), we follow the crowd (herd mentality), we seek confirmation of our views (confirmation bias), we avoid change (status quo bias), and we often overestimate our skills (overconfidence bias). Each one keeps us busy, but rarely delivers results.

Let's see how this plays out in the real world of investing.

Table 1

Endurance pays. Panic doesn't.

Year	Major event	Nifty fall (%)	Recovery time	₹5 lakh if exited at bottom (₹ lakh)	₹5 lakh if stayed put (₹ lakh)	1Y return post -event (%)	Observation
2000	Dotcom bust/Kargil	-53	65 mths	2.4	12.3	25	Slowest recovery (tech heavy)
2008	Global financial crisis	-52	17 mths	4.3	8.8	76	Faster than 2000
2016	Demonetisation	-24	9 mths	3.8	6.8	35	Recovery under a year
2020	Covid-19	-39	6 mths	3.1	8.8	75	Fastest recovery post deep fall
2022	Russia-Ukraine war	-5	1 mth	4.8	5.5	10	Barely any dip
2024	Middle-East tension/Election volatility	(intraday)	2-3 weeks	4.8	5.3	6	Recovery too fast to exit
2025	Indo-Pak/Iran-Israel tension	(intraday)	Days	4.9	5.3	5	Recovered in days

Source: Nifty 50 TRI data, AMFI, Internal Analysis; recovery timelines and returns based on index performance at respective event lows and recovery points.

When big gaps begin quietly

Consider a simple ₹5 lakh invested in the Nifty 50 TRI back in 2000. What follows isn't just numbers. It's a clear record of moments when headlines screamed, markets stumbled, and investors had to decide what came next. Check Table 1.

Had that ₹5 lakh simply stayed in Nifty 50 TRI through it all, it would be worth over ₹1.2 crore today. What table 1 shows isn't just about exits or mistakes; it's about how markets evolve, recover, and often surprise us. From the bottom of 2000, recovery took years. The demonetisation-led 2016 low reversed within months. Covid's 39 per cent fall bounced back within half a year. More recently, Indo-Pak tensions or election shocks barely left a mark.

That ₹5 lakh isn't just money — it's a reflection of choices made under pressure. Fear shrinks wealth.

Endurance lets it grow. This isn't about predicting what will happen next. It's not even about claiming that 'doing nothing' is always the right move. Sometimes, patience quietly does what action never can.
Growth rarely announces itself. It simply waits for us to stop interfering.

But it's not always the big moments. Sometimes, it's the quieter choices, the ones we think won't matter, that slowly shape what comes next.

The unseen cost of changing course

Now, let's shift the lens to the Nifty 500. Not the shock of crashes, but the slow erosion from missing just a few vital quarters: a simple ₹5 lakh, left invested since January 2000. Here's how small, seemingly harmless decisions shaped outcomes:

What markets have shown us, time and again, isn't just about numbers — it's about how our reactions quietly shape our outcomes. As seen in Table 2, a potential of ₹95 lakh becomes ₹33 lakh. Annual return shrinks from 12.5 to just 7.9 per cent—a gap wide enough to decide whether your goals stay within reach or slip away quietly.

Table 2

Skip a few quarters, lose half wealth

Scenario	Final corpus (₹ lakh)	Return (% pa)	Loss vs fully invested (%)
Fully invested	95	12.5	0
Missed 1 best quarter	83	11.9	13
Missed 3 best quarters	68	11	29
Missed 6 best quarters	54	10	43
Missed 12 best quarters	39	8.6	59
Tried to time and switch	33	7.9	65

Source: Whitebook. Based on Nifty 500 TRI data (Jan 2000 - July 2025)
Based on original investment of ₹5 lakh.

Illustration: ANAND

And here's what's easy to forget: you rarely avoid the worst while still catching the best. History shows the strongest recoveries often arrive right after the deepest declines. Markets change without notice; the biggest gains often come when we least expect, not by timing perfectly, but by remaining patient through uncertainty.

What feels like protection today often becomes regret tomorrow.

These patterns repeat beyond investing. Sometimes, they play out on the pitch.

Second-guessing: A lesson from Cricket

In the long format of Test cricket, batters often falter in the nervous 90s — a stretch where doubting clouds judgment, not skill. What got them there was steady footwork and discipline. But as pressure quietly builds, hesitation creeps in. One misstep, and they're walking back to the pavilion.

It might surprise you that the player dismissed most often in this tense zone is the great Sachin Tendulkar — 28 times. Nearly 15 per cent of his potential centuries were lost just short.

Even the greatest lose focus, get unlucky, or make small errors. But what sets them apart isn't perfection, it's the ability to reflect, recalibrate and return.

Success isn't built on flawless streaks, but on resilience through setbacks.

Investors aren't so different. The behavioural gap between potential and reality is well documented. Even with access to the same opportunities, the average investor earns 3–4 per cent less annually than their own investments (as per data from AMFI, Dalbar QAIB studies, 2014–2024), not because of bad markets, but restless decisions. Pause mid-innings, chase trends, switch fields: these choices quietly steal runs off the scoreboard.

Focus keeps you at the crease. Doubt sends you walking.

Why stillness outlasts certainty

We're all taught that progress comes from doing more. But in investing, that instinct often pulls us the wrong way. We endlessly check, adjust, and fiddle, seeking certainty. Yet, more effort doesn't always move us forward.

History shows that it's rarely the investing landscape, but rather our instincts, which often lead us to exit in fear during crises like Covid or conflicts, costing more than we save. Missing key recoveries cuts wealth by 66–84 per cent. Discipline nurtures wealth. Haste erodes it.

The point isn't to stop learning, far from it. But there's a difference between meaningful learning and what we mistake for active learning, between absorbing insights and reacting to noise.

History shows that it's rarely the investing landscape, but rather our instincts, which often lead us to exit in fear during crises like Covid or conflicts, costing more than we save

The market floods us with information. Not all of it deserves attention, let alone action. It helps us distinguish between endless motion and meaningful steps, between impulse and considered judgment, between doing something and allowing time to do its work. When it comes to money, one should be conscious, not compulsive. True learning gives us clarity — to see better, choose better, and act less in haste.

In the *Bhagavad Gita*, there's a word: '*Sthitaprajna*' — one whose wisdom stays unmoved, even as the world shifts. The lesson is timeless: true learning doesn't push us into distraction; it pulls us toward clarity. It helps us tell apart what demands action and what simply demands time.

Wealth doesn't respond to noise. It responds to time. ☑

Arpit Nayak is part of sales team at WhiteOak Capital Mutual Fund. He enjoys writing to simplify investing by providing clear insights and focusing on the behavioural aspects of financial decisions. He believes that smart choices come from clarity, not complexity.

Rare earths, real threat

As China tightens its grip on critical minerals, India scrambles to secure its supply chain and attract private capital

By
Anand Tandon

Control over energy-generating resources has always shaped global geopolitics. In the 19th century, Britain's dominance was built on its control of coal. The 20th century was defined by oil and gas, leading to the powerful US-Saudi alliance shaping world affairs. Today, we are witnessing a new era marked by a transition to digital technologies and renewable energy sources—solar, wind and electric power. However, this transition is deeply dependent on a new set of resources: rare metals. Metals such as neodymium, cobalt, lithium and palladium are now essential for manufacturing everything from electric car batteries and wind turbines to smartphones and solar panels. One country, China, has strategically positioned itself to dominate both the production and consumption of these rare metals, giving it unprecedented leverage in the global economy.

China's dominance is overwhelming: it controls 60–75 per cent of global Rare Earth Elements (REE) production and 85–90 per cent of processing capacity. It supplies nearly all of the world's heavy rare earths required for high-performance magnets. This position is the result of decades of strategic investment, cost undercutting and technological advancement.

Despite holding an estimated 6.9 million metric tonnes of REE reserves—primarily in monazite-rich coastal sands—India produces just 0.25 per cent of global output, with nearly all value-added processing and magnet manufacturing occurring abroad. The nation imports 90–100 per cent of its processed rare earth magnets, with China supplying 90–93 per cent of these imports. In the FY25, India imported 53,748 metric tons of rare earth magnets, nearly double the previous year's figure.

Sectoral impact of China's export restrictions

In April 2025, Beijing introduced a sophisticated export licensing regime targeting seven REEs primarily as retaliation against US tariffs, but also as

India's critical dependence and supply chain weakness

India's rare earth reserves vs production/processing capacity

Metric	India	China	Global context
Global rank in reserves	3rd/5th	1st in both (49 per cent of known reserves)	World's 90 million tons of known reserves
Total reserves (tonnes)	6.9 million	44.1 million (approx. 49 per cent)	Total global reserves: 90 million tons
Share of global production (%)	<1 per cent (0.25 per cent in 2024)	60-75 per cent	--
Share of global processing capacity (%)	Minimal/Underdeveloped	85-90 per cent	--
Key challenges	Infrastructure limitations, technological gaps, regulatory hurdles, substantial capital investment, long gestation periods, low recovery rates	Strategic investments, lenient environmental policies, patent accumulation	--

Impact on key Indian industries

Summary of positive and negative effects

Industry	Primary impact	Specific effects
Automotive (EVs, hybrids, ICE)	Negative	Production halts, launch delays for new models, potential 5-8 per cent price hikes, shift to lower-end models/ICE, supply chain disruption for critical components
Electronics (hearables, wearables, TVs)	Negative	Over 21,000 jobs at risk, forced reliance on finished good imports, 2-3x increase in input costs, inflationary pressures
Defense & aerospace	Negative	Risks to indigenous defense production, compromised strategic capabilities, potential for military technology gaps (e.g., fighter jets, missiles)
Renewable energy (wind, solar)	Negative	Challenges for wind turbine/solar panel manufacturing, potential threat to achieving ambitious energy targets
Domestic mining & processing	Positive	New investment opportunities, scaling up of local exploration/extraction, government incentives, entry of major players
Magnet manufacturing & advanced materials	Positive	Incentivised growth in local production, import substitution, new plant establishments, PLI scheme benefits
Recycling & R&D for alternative technologies	Positive	Boost for critical mineral recycling, exploration of magnet-free designs, potential for India as a recycling hub

a tool to exert precise geopolitical pressure. Exporters must now navigate a complex approval process, with only about 60 per cent of applications approved by early July and delays of up to 45 working days or more. The result: a 74 per cent year-over-year drop in China's rare earth magnet exports in May 2025, with US-bound shipments plunging by over 93 per cent.

When China's export licensing tightened, Indian firms faced immediate supply disruptions. By May 2025, none of the 30 import requests endorsed by the Indian government had received final Chinese approval. This acute dependence is not just economic but strategic, with India forced to export raw materials and re-import them as high-value finished products at a premium.

This acute dependence is not just economic but strategic, with India forced to export raw materials and re-import them as high-value finished products at a premium

Policy response

China's rare earth export restrictions have exposed India's acute supply chain vulnerabilities but also triggered a decisive shift towards self-reliance and diversification. In a multi-pronged initiative, the government is preparing guidelines to incentivise domestic production of rare earth minerals and magnets, aiming to reduce dependence on China. This includes a proposed incentive program worth up to ₹25 billion (approximately $290 million) for private sector firms manufacturing rare earth magnets. The goal is to support three to four large companies in producing 4,000 tons of neodymium and praseodymium-based magnets using locally mined raw materials over seven years.

The National Critical Mineral Mission (NCMM), launched in 2025, aims for 1,200 domestic exploration projects by 2030-31. State-owned Indian Rare Earths Limited (IREL) is central to this strategy, shifting focus from exports to prioritising domestic supply and establishing a Rare Earth Permanent Magnet (REPM) plant in Visakhapatnam using indigenous technology. India is also actively pursuing international partnerships through Khanij Bidesh India (KABIL), acquiring foreign mineral assets in countries like Argentina and engaging with Australia for rare earth collaborations. Joining the US-led Mineral Security Partnership (MSP) provides India access to advanced refining technologies and geopolitical leverage.

Furthermore, legal reforms are underway to streamline the process. Amendments to the Mines and

Listed Indian companies and their presence in rare earth space

Company	Primary impact	Specific effects	Impact type	Specific impact/Opportunity
Tata Motors	Automotive	EV manufacturer (Nexon EV, Land Rover)	Negative	Production halt risk, margin erosion, delain EV roadmap
Mahindra & Mahindra	Automotive	EV & utility vehicle production (Thar EV)	Negative	Production delay risk, impacts aggressive EV launch schedule
Maruti Suzuki India	Automotive	EV production (e-Vitara)	Negative	Recalibration of production goals due to magnet shortage
Uno Minda, Bosch, Mareli, TVS Group, Motherson Sumi	Auto components	Magnet sourcing application	Negative	Significant disruption due to lack of Chinese approvals
Vedanta	Mining & Metals	Rare earth refinery, exploration	Positive	Play on India's self-sufficiency, potential partnerships
Hindustan Zinc	Mining & Metals	Secured 1st privately auctioned REE block	Positive	Early mover in domestic REE mining, strategic positioning
NMDC	Mining	Iron ore producer, REE exploration	Positive	MoU with IREL for beach sand minerals, exploring lithium
MOIL	Mining	Manganese ore producer, REE exploration	Positive	Exploring other minerals, potential REE development
Hindustan Copper	Mining & Metals	Copper mining/processing, diversifying into REE	Positive	Bidding for REE blocks, strategic diversification
Sona Comstar	Auto components	EV magnet importer, planned domestic production	Positive	Largest importer turning manufac-turer, capitalising on incentives

Minerals Development and Regulation Act have reclassified rare earths as 'critical and strategic' minerals, opening the sector to private participation for the first time. The amended Minerals (Evidence of Mineral Contents) Rules also aim to accelerate exploration and licensing processes, making auctioning more scientific and time-bound. The government has already conducted five rounds of critical mineral block auctions, with Hindustan Zinc notably securing India's first privately auctioned rare earth block, marking a significant step towards private sector engagement.

Recognising the immediate threat, India has acknowledged the imperative to stockpile critical minerals through the NCMM while long-term domestic capacity is being built.

Challenges and opportunities

Despite these proactive measures, India faces substantial challenges scaling domestic production. These include significant infrastructure limitations, technological gaps, persistent regulatory hurdles and the need for billions in capital investment over several years. Establishing a complete rare earth value chain, from mining to processing and magnet manufacturing, is a long-term endeavour, estimated to take 6-7+ years and potentially a decade or more for commercial production from new mines. Processing REEs is complex, capital-intensive and environmentally hazardous.

Establishing a complete rare earth value chain, from mining to processing and magnet manufacturing, is a long-term endeavour, estimated to take 6-7+ years and potentially a decade or more for commercial production from new mines

Investors concerned over supply chain shifts caused by REE availability and pricing can trim exposure to user industries while increasing allocation to mining entities, including international companies that can benefit from these trends. Recycling companies and those innovating products, especially magnets that are not dependent on REE, offer other opportunities. A summary of the impact on some companies is in the table above. ☑

High-quality small caps

Using Stock Ratings to find promising small caps high on quality

Tired of spending hours sifting through the vast listed universe? You need a reliable stock screener. It can help you get a list of promising stocks that deserve your attention with just a click of a button. Once you have a manageable list, you only need to research them further to find the ones worth investing in.

Value Research offers several carefully curated stock filters that can pick the most attractive companies from the listed Indian universe. In this issue, we cover the 'High-quality small caps' screen in detail. We have also given a concise list from the other screens. To view all the companies, visit: **www.valueresearchonline.com/stocks-screener/**

Good quality small-cap companies

A stock investor's greatest joy is discovering a budding small-cap company and watching it grow into a formidable large cap. However, it is easier said than done. The small-cap arena is like the Roman-era Colosseum – many fight, but only a few survive to tell their tale.

This is where **Value Research Stock Ratings** can be your guide. Our **Stock Ratings** combine multiple metrics spanning quality, growth and valuation factors. For this particular screen, we have chosen small caps that are high in quality and fare moderately on growth and valuation. So, with just three filters, we have created a good starting point for your research.

But don't forget, small-cap investing is not for the faint of heart. It requires considerable groundwork and an appetite for volatility. So, pick companies that you understand and research them in detail. Also, be prepared for the unexpected. You will need perseverance to deal with the frequent drawdowns in your portfolio.

A word of caution

These are not stock recommendations. Please do your due diligence before investing. If you are interested in a list of stocks to invest in, subscribe to **Value Research Stock Advisor.**

Key terms

M-cap
Stands for market capitalisation. Obtained by multiplying the stock price by the total number of shares. Shows a company's market value or size.

Price to earnings (P/E)
The ratio of the stock price and earnings per share (EPS). It shows in multiples how much investors are willing to pay for a share in a company's earnings. Note that a high-growth stock often will have a high P/E ratio, while a value stock will have a relatively lower P/E ratio.

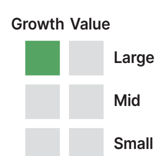
Stock Rating
Value Research Stock Rating combines the four scores (quality, growth, valuation and momentum) based on assigned weights to arrive at a holistic Stock Rating. We have created a five-star rating system. The higher the Stock Rating, the better.

Quality Score
It assesses the quality of a company quantitatively, capturing two crucial aspects, i.e., business efficiency and balance sheet quality. It considers various metrics, such as return on equity, return on capital employed, debt-to-equity ratio, etc. The score is based on the relative ranking of all parameters after assigning certain weights to each. Both current values and historical values drive the ratings. The score is out of 10. The higher the score, the higher the quality.

Valuation Score
It gauges if a stock is reasonably priced. This quantitative rating considers the stock's current and historical valuation parameters based on metrics such as P/E ratio, free cash flow yield, dividend yield, etc. The score is out of 10. The higher the score, the more attractively priced it is.

Momentum Score
It represents the market demand for a stock by assessing its historical price trend over six to 12 months. The score is calculated by adjusting the price movement for volatility. A higher score means the price performance has been impressive with relatively lower or digestible volatility.

Stock Style
Derived from a combination of the stock's valuation – growth or value – and its market capitalisation – large, mid and small. For example, here is the stock style of a large-cap growth stock.



Stellar small caps

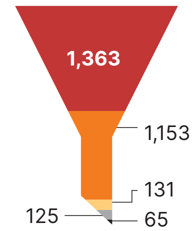
Reasons to invest

- High-quality companies
- Chances of high wealth creation
- Moderate to high growth
- Reasonable valuations

The filters

- No. of small cap companies
- Companies with a stock rating
- Quality Score >8
- Growth Score >4
- Valuation Score >4

No. of companies that cleared the filters



Company Industry	Stock Style	Stock Rating	Quality Score	Growth Score	Valuation Score	Momentum Score	P/E	Market cap (₹ cr)	Share price (₹)	52-week high/low (₹)
Accelya Solutions India IT Services & Consulting		★★★★	10	6	6	3	16.6	2,096	1,406	1,940-1,219
ADC India Comm. IT Services & Consulting		★★★★	9	7	5	3	21.8	534	1,150	2,280-901
Advanced Enzyme Tech. Speciality Chemicals - Div.		★★★★	9	6	5	5	27.7	3,636	329	571-258
Advani Hotels & Resorts Hotels & Resorts		★★★★★	10	5	6	5	21.7	575	62	84-52
Alldigi Tech BPO Services		★★★★	10	7	5	4	17.5	1,454	957	1,210-811
All E Technologies IT Services & Consulting		★★★★★	10	7	5	8	24.4	735	361	633-291
Andhra Petrochemicals Petrochemical		★★★★	10	6	7	1	-	477	56	115-48
Arman Financial Services NBFC - Div.		★★★★★	10	6	6	6	32.6	1,700	1,644	2,021-1,110
Avanti Feeds Aquaculture		★★★★★	9	6	5	8	19.3	10,228	747	964-542
Axtel Industries Industrial Machinery		★★★★	9	7	5	4	47.8	756	470	680-371
Bajaj Steel Industries Industrial Machinery		★★★★★	9	6	5	9	16.1	1,357	658	988-429
Birlasoft Software & Services - Div.		★★★	9	6	6	1	22.6	11,668	421	734-331
Can Fin Homes Mortgage/Housing Finance		★★★★★	10	9	7	7	12.3	10,870	803	952-559
Cantabil Retail Readymade Garment		★★★★★	10	6	5	7	31.6	2,366	281	334-211
Cheviot Jute Products		★★★★	9	6	6	4	11.9	686	1,183	1,653-975

STOCK SCREEN

Company Industry	Stock Style	Stock Rating	Quality Score	Growth Score	Valuation Score	Momentum Score	P/E	Market cap (₹ cr)	Share price (₹)	52-week high/low (₹)
CMS Info Systems Other Business Services		★★★★★	9	7	5	7	23.5	8,765	535	617-411
CSB Bank Banks - Div.		★★★★★	9	6	6	9	12.6	7,486	421	434-273
CyberTech Systems IT Services & Consulting		★★★★★	9	7	7	5	15.4	539	172	293-125
D.B. Corp Advertising & Marketing - Div.		★★★★	9	6	6	4	14.9	4,991	283	380-189
Shree Digvijay Cement Cement		★★★★	9	7	5	2	50.8	1,280	86	110-64
Dolat Algotech Other Financial Institutions		★★★★	9	5	6	4	7.8	1,690	95	187-68
EIH Associated Hotels Hotels & Resorts		★★★★	10	5	5	5	26.5	2,433	394	544-304
Epigral Commodity Chemicals - Div.		★★★★★	9	7	6	8	21.7	7,762	1,805	2,407-1,387
ESAF Small Finance Bank Small Finance Banks		★★★★★	10	6	8	2	-	1,716	33	53-24
Fineotex Chemical Div. Chemicals		★★★★	9	7	6	3	29.4	3,184	279	439-207
Gandhi Special Tubes Iron & Steel		★★★★★	9	7	7	5	15.1	886	733	929-586
Ganesh Benzoplast Speciality Chemicals - Div.		★★★★	9	7	7	2	18.3	699	97	180-94
GHCL Commodity Chemicals - Div.		★★★★★	9	6	7	7	9.3	5,811	607	779-511
GM Breweries Distilleries		★★★★★	10	6	7	6	12.8	1,663	731	1,049-580
GPT Healthcare Hospitals & Clinics		★★★★★	10	6	5	6	27.6	1,379	169	208-126
Gujarat Pipavav Port Marine Logistics		★★★★	10	7	5	2	19.9	7,892	164	251-123
Heidelberg Cement Cement		★★★★★	9	6	6	6	45.0	4,801	215	258-182
Indo Borax & Chemicals Commodity Chemicals - Div.		★★★★★	10	7	7	9	18.6	790	248	263-142

Stock Rating and price data as of July 21, 2025.

For the full list, scan the QR code.

Want more? Here you go

Other screens available on the Value Research website, along with their themes and some of their stocks

High momentum large caps

Gives a list of largecaps that are in the vogue right now

	P/E		P/E
Indian Bank	7.6	Lloyds Metals & Energy	53.1
Aditya Birla Capital	20.7	Berger Paints India	57.0
Coromandel International	33.0	Vishal Mega Mart	101.8
SBI Cards	44.4	Hitachi Energy India	221.3
Abbott India	51.3	One97 Communications	-

High momentum mid caps

Gives a list of midcaps that are in the vogue right now

	P/E		P/E
City Union Bank	14.0	Ceat	35.9
Nava	15.8	Home First Finance	36.9
RBL Bank	27.6	ITD Cementation	37.2
Balrampur Chini Mills	28.6	Gabriel India	59.5
LT Foods	28.9	Maharashtra Scooters	77.3

High momentum small caps

Gives a list of smallcaps that are in the vogue right now

	P/E		P/E
Nitta Gelatin	10.4	Magna Electro Castings	24.1
Jenburkt Pharma	17.9	Prime Securities	25.9
Avonmore Capital	18.6	Aryaman Financial	27.6
Indo Borax & Chemicals	18.6	Fluidomat	28.5
Uni Abex Alloy Products	20.3	Bemco Hydraulics	59.8

Growth at reasonable P/E

Growth stocks that are priced attractively

	P/E		P/E
Asian Hotels	3.8	Viceroy Hotels	9.4
Indosolar	6.0	Nahar Capital	10.6
Consolidated Finvest	6.1	Selan Exploration	13.4
Kaya	7.1	Mallcom (India)	13.8
KSE	8.2	Nile	14.6

Book value discount

Stocks that are trading at a discount to their respective book values

	P/B		P/B
SG Mart	0.6	The Jammu & Kashmir Bank	0.9
The Karnataka Bank	0.6	ONGC	0.9
The South Indian Bank	0.8	PTC India	1.0
Tamilnad Mercantile Bank	0.8	Union Bank Of India	1.0
Bank Of Baroda	0.9	The Great Eastern Shipping	1.0

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- Stock Rating
- Value Guru screens
- Easy peer comparison

www.valueresearchonline.com/stocks-screener/

WORDS WORTH NOW

K Krithivasan, CEO, Tata Consultancy Services

On the impact of AI on BPO industry

BPO is one of the industries that would get disrupted even before the traditional coding. Because there are a lot of opportunities for creating AI agents or agentic AI. Both of them have a very strong role today. You would see that business evolving faster (than others).

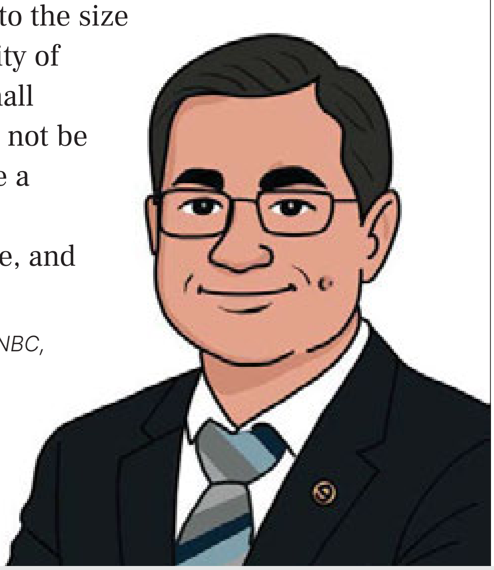
Economic Times, July 14, 2025

Sanjay Malhotra, Governor, RBI

On how regulations have to be different across the banking system

Our goal is to make regulation proportional to the size and complexity of entities. A small NBFC should not be regulated like a systemically important one, and vice versa.

Interview with CNBC, July 18, 2025



C Vijayakumar, CEO, HCL Tech

On how AI threatens the core business model of Indian IT companies

I strongly believe that the business model is ripe for disruption. What we saw in the last 30 years was a fairly linear scaling of revenues and people. I think time is already up for that...I think we have to be paranoid. We have to be non-complacent. That is how we can manage to keep up with what's going on in the industry.

Analytics India Magazine, February 26, 2025

Jamie Dimon, CEO, JP Morgan

On how to look at and consider risk anywhere

Being risk-conscious doesn't mean eliminating risk entirely; that's not realistic in banking or in life. It means understanding the range of possible outcomes, pricing that risk appropriately and making sure you're being paid enough to bear it.

Acquired Podcast, July 16, 2025

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